BERNSTEIN
SOCIETE GENERALE GROUP

16 October 2026

U.S. Multi Industry & Electrical Equipment

3Q26 Earnings Preview: Automation + Industrials (HON, EMR, ROK, MMM, PH, OTIS)



Varun Govindaraj
+1 917 344 8543
varun.govindaraj@bernsteinsg.com

Specialist Sales



Steve Song
+1 917 344 8401
steve.song@bernsteinsg.com

Earnings for industrials kick off next week. In this note, we wrap up our previews with perspectives and tactical calls on automation + diversified industrials going into the print. Key takeaways below.

Honeywell (Market-Perform, tactically +ve): We like the setup into earnings for Honeywell. The de-rating seems to have been largely driven by some confusion on the guide, but underlying fundamentals seem strong and set the company up for a beat. BA/IA are unproblematic stories, concerns on PAT seem priced into the stock. A clean quarter can offer a near-term catalyst, although conflicts in the Middle East are a mid-term overhang due to timing uncertainty and 2027 expectations.

Emerson (Outperform, tactically neutral): Near-term, we think investors have been paid into the print. A big outperformer over the last three months vs. HON / ROK. We expect a conservative guide (4 - 6% organic and incrementals at 40%). Strong orders numbers / pipeline growth could be what drives incremental upside, but the timing of this is very hard to predict despite strength in LNG / power outlook where EMR dominates in NA.

Rockwell (Market-Perform, tactically neutral): Concerns largely driven by valuation. We are warming up to the idea that reshoring is real (positive momentum in factory starts, announcements, etc.) but it may take more than a quarter to truly accelerate ROK's NA numbers. Expect to see a MSD - HSD guide (to start) with incrementals at 40%+ although we're unsure if ROK guide will imply 50%+ incrementals margins due to some persistence in input cost pressures.

3M (Market-Perform, tactically +ve): We don't think 5% organic growth is repeatable in 3Q (comps are tougher, there was idiosyncratic acceleration in 2Q). However, we think margin expansion (from gross margins, not SG&A) can get the street more constructive. This may not happen in 3Q but we expect to hear more at the end of the year. We expect MMM to announce a new gross margin target in the mid-40%, essentially implying a few hundred bps of expansion (over a ~3-4 year period). We think this could be a tactically positive catalyst in the near-term.

Parker-Hannifin (Outperform, tactically +ve): We think the de-rating post 3Q results has been largely due to broader XLI underperformance, not due to any Parker-specific weakness. We think they are setup for a strong beat on diversified industrials driven by short-cycle acceleration with continued strength on commercial aftermarket / OEM in aero. Near-term margin dilution from FG should be well-telegraphed at this point.

Otis (Outperform, tactically neutral): Our fundamental view on the company remains unchanged and we expect strong topline, margin, and EPS numbers in 3Q (in-line or beats). We've received a lot of pushback on the sequential margin ramp, but based on our NDR with management we think the outlook is largely reasonable. However, we do think there will be a near-term overhang given uncertainty around leadership transition, and that needs more clarity before the stock truly works (making it an early 2027 story).

See the Disclosure Appendix of this report for required disclosures, analyst certifications and other important information. Alternatively, visit our Global Research Disclosure Website.

First Published: 16 Oct 2026 12:30 UTC Completion Date: 16 Oct 2026 12:30 UTC

BERNSTEIN TICKER TABLE

			15 Oct 2026		TTM	Adjusted EPS				Adjusted P/E (x)	
Ticker	Rating	Cur	Closing Price	Price Target	Rel. Perf.	Cur	2025A	2026E	2027E	2025A	2026E	2027E
HON (Honeywell)	M	USD	210.50	254.00	(11.2)%	USD	6.46	8.31	9.72	32.6	25.3	21.7
EMR (Emerson)	O	USD	162.15	186.00	9.7%	USD	6.00	6.55	7.23	27.0	24.8	22.4
ROK (Rockwell)	M	USD	422.03	514.00	5.2%	USD	10.47	13.13	14.53	40.3	32.1	29.0
MMM (3M)	M	USD	165.33	171.00	(6.9)%	USD	8.06	8.91	9.62	20.5	18.6	17.2
PH (Parker Hannifin)	O	USD	961.75	1,218.00	16.4%	USD	32.31	35.13	38.68	29.8	27.4	24.9
OTIS (Otis)	O	USD	70.40	90.00	(38.4)%	USD	4.05	4.05	4.52	17.4	17.4	15.6
SPX			7,744.06									

O - Outperform, M - Market-Perform, U - Underperform, NR - Not Rated, CS - Coverage Suspended

PH base year is 2026;

Source: Bloomberg, Bernstein estimates and analysis.

INVESTMENT IMPLICATIONS

While we are tactically positive on the HON, we rate it Market-Perform with TP $254 based on a lack of clarity in the Middle East which could impact the mid-term PAT outlook.

While we are tactically neutral on EMR, we rate it Outperform with TP $186 due to our belief that the ongoing power and LNG buildout in North America offers a significant TAM for them to pursue over the next 2 - 3 years.

While we are tactically positive on MMM, we rate it Market-Perform with TP $171 on concerns that growth cannot meaningfully accelerate beyond MSD which caps longer-term upside on the stock.

While we are tactically neutral on OTIS, we rate it Outperform with TP $90 due to our belief that strong underlying fundamentals should lead to a re-rating once the leadership change is crystallized.

We rate ROK Market-Perform, TP $514.

We rate PH Outperform, TP $1,218.

DETAILS

EXHIBIT 1: **Sector overview going into 3Q26 EPS (1/2)**

Company	Current price	Target price	Fwd P/E Multiple	Rating	Tactical 3Q positioning	Tactical commentary
Emerson	$162	$186	22.9x	OP	Neutral	No imminent catalyst; expect conservative guide
Honeywell Technologies	$211	$254	23.1x	MP	Positive	We think growth could be above higher end of guide
Rockwell Automation	$422	$514	29.1x	MP	Neutral	Price cost concerns; FY27 guide / investor day are key catalysts
Parker	$962	$1218	27.1x	OP	Positive	Short-cycle support + aero. aftermarket better than expected
OTIS	$70	$90	16.7x	OP	Neutral	Near-term overhang from ongoing CEO transition
3M	$165	$171	17.8x	MP	Positive	Short-cycle support + possible targets on GM expansion

Focus of this note

Source: Bernstein Analysis and Estimates, Visible Alpha, Company Reports

Varun Govindaraj +1 917 344 8543 varun.govindaraj@bernsteinsg.com

Varun Govindaraj +1 917 344 8543 varun.govindaraj@bernsteinsg.com

EXHIBIT 2: **Sector overview going into 3Q26 EPS (2/2)**

Company	Current price	Target price	Fwd P/E Multiple	Rating	Tactical 3Q positioning	Tactical commentary
VERTIV.	$215	$368	27.0x	OP	Neutral	Concerns around meeting buyside #s ($7 vs. $6.7 guide)
nVent	$146	$229	24.6x	OP	Positive	Continued torque from liquid cooling ramp-up through '27
TRANE TECHNOLOGIES	$457	$575	27.6x	OP	Neutral	Concerns around price cost in 3Q/4Q
Johnson Controls	$148	$190	25.3x	OP	Positive	Expect strong FY27 guide from JCI
Carrier	$55	$64	18.0x	MP	Neutral	No near-term catalysts (margin & resi. are overhangs)
Amphenol	$81	$99	27.3x	OP	Positive	Continued torque from in-rack DC outperformance
TE connectivity	$213	$243	17.0x	OP	Neutral	Do not expect strong orders to convert till 2027

Source: Bernstein Analysis and Estimates, Visible Alpha, Company Reports

HONEYWELL (MARKET-PERFORM, TACTICALLY +VE)

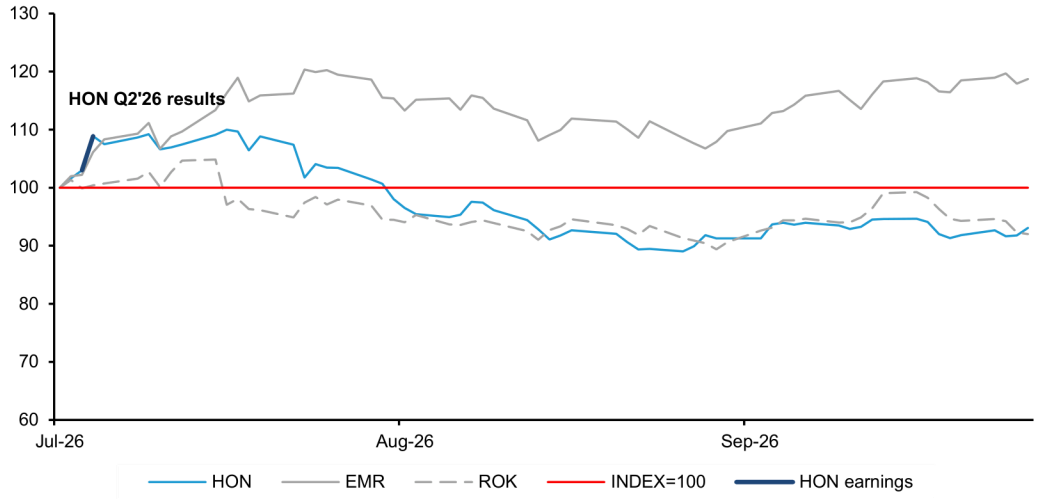
We think Honeywell has a good setup going into earnings. The stock has been a bit of a rollercoaster (down ~20% since the print) with initial euphoria following strong 2Q results, followed by management guiding the street down on 2027 expectations during the early part of conference season with most recent commentary now being quite positive where management indicated that they would likely reach the upper end of their guidance range (which is usually a signal that they will come out ahead). Part of this communication back and forth was also just uncertainty related to modelling spins in 2027; PSS and WWS spins within IA seem to be have been inaccurately modelled across the street, but that should largely be cleaned up in consensus after the 3Q print closes.

Most company commentary on each of the segments has been consistently positive. On Industrial Automation, management has highlighted that they are seeing share stabilization to share gains (vs. historically where IA was losing share to competitors). We think this offers a credible path to MSD growth either in the quarter or soon after (with base market growth of LSD and share gains adding to that). The strong short-cycle activity we are seeing (not isolated to Honeywell) only adds tailwinds / incremental upside. On Building Automation, we think strong execution continues as expected (giving us comfort in a MSD to HSD print). We have seen a leadership change as the former head of the business has moved over to lead Process Technology, but we do not think this impacts the story in any way. PAT is where the street seems to have become incrementally negative since there was a belief that we could get to DD+ growth on the back of Middle East rebuilding, but we think the persistence of conflict in Iran (and escalation of tensions in Saudia Arabia) reduce HON's ability to cross 10% organic in the back half of this year. The street was also ahead of where management though margins would land for the year (22.5%) although that has now corrected. However, we still think HSD growth forecast for PAT is credible (and management has re-iterated the same during conference panels).

As a side note, we have noticed a number of investors incorrectly viewing HON's headline P/E and assessing the stock as expensive. What they are missing is that HON's stake in QNT adds about ~2 turns to the multiple, so if you strip that out (since it reflects in market cap) Honeywell looks a lot cheaper on forward earnings (~15%+ next year with a multiple in the high teens).

What gets the stock working: While sentiment is definitely not bad on HON (we have received a lot of investor interest), we've sensed some hesitance from investors to deploy fresh capital given concerns around HON guiding down the street on 2027 EPS growth numbers (to ~15% down from 20%+). We believe this is largely conservatism, and think a 15 - 20% EPS growth range is reasonable for HON. However, we think the company needs to (and we expect it to) deliver a clean beat-and-raise quarter in 3Q which should allay any residual concerns around conference season commentary. We believe that should be enough for the stock to recapture some of the correction it has seen over the last quarter since our conversations with investors indicates capital in wait on the sidelines.

EXHIBIT 3: **Share price evolution past 3 months**



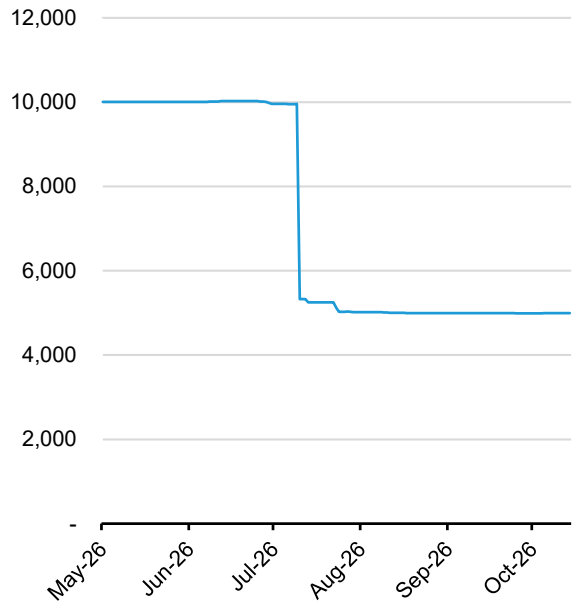
Source: Bloomberg, Bernstein analysis

EXHIBIT 4: **HON Cons. vs Reported**

	Revenue reported	Revenue Cons.	Diff (Report. vs Cons.)	EBIT reported	EBIT Cons.	Diff (Report. vs Cons.)	Price change on result day
2024 Q3	4,913	9,881	-50%	1,904	2,284	-17%	-5%
2024 Q4	5,188	9,824	-47%	2,003	2,063	-3%	-6%
2025 Q1	4,756	9,593	-50%	1,812	2,170	-16%	5%
2025 Q2	5,018	10,061	-50%	2,156	2,307	-7%	-6%
2025 Q3	4,929	10,156	-51%	2,368	2,353	1%	7%
2025 Q4	5,242	9,962	-47%	2,475	2,298	8%	5%
2026 Q1	4,823	9,273	-48%	2,457	2,098	17%	-3%
2026 Q2	5,187	4,997	4%	985	899	10%	6%

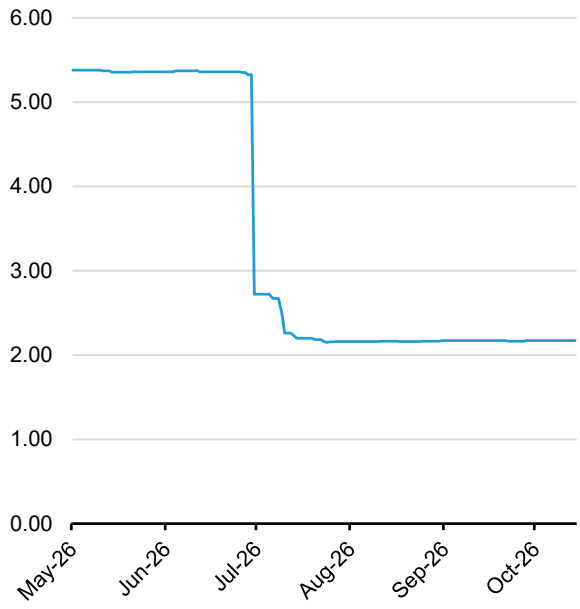
Source: Bloomberg, Bernstein analysis

EXHIBIT 5: **HON consensus revenue evolution (next reporting quarter)**



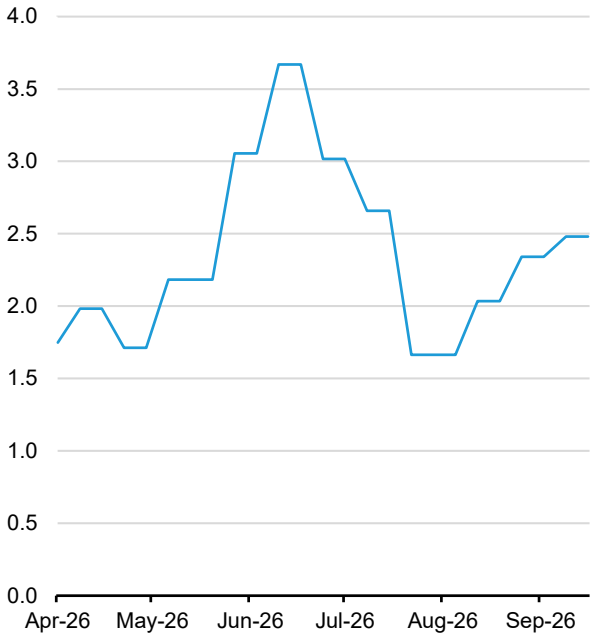
Source: Bloomberg, Bernstein analysis

EXHIBIT 6: **HON cons. EPS evolution (next reporting quarter)**



Source: Bloomberg, Bernstein analysis

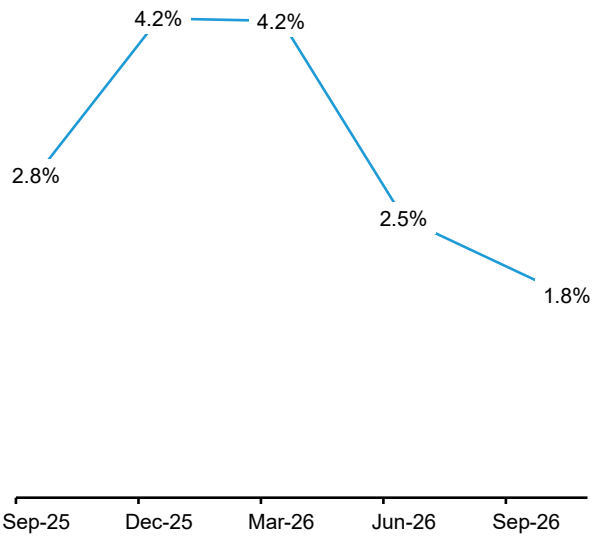
EXHIBIT 7: **HON short interest as a % of total float**



Source: Bloomberg, Bernstein analysis

EXHIBIT 8: **HON hedge fund managers ownership**

Based on publicly reported holdings



Source: Bloomberg, Bernstein analysis

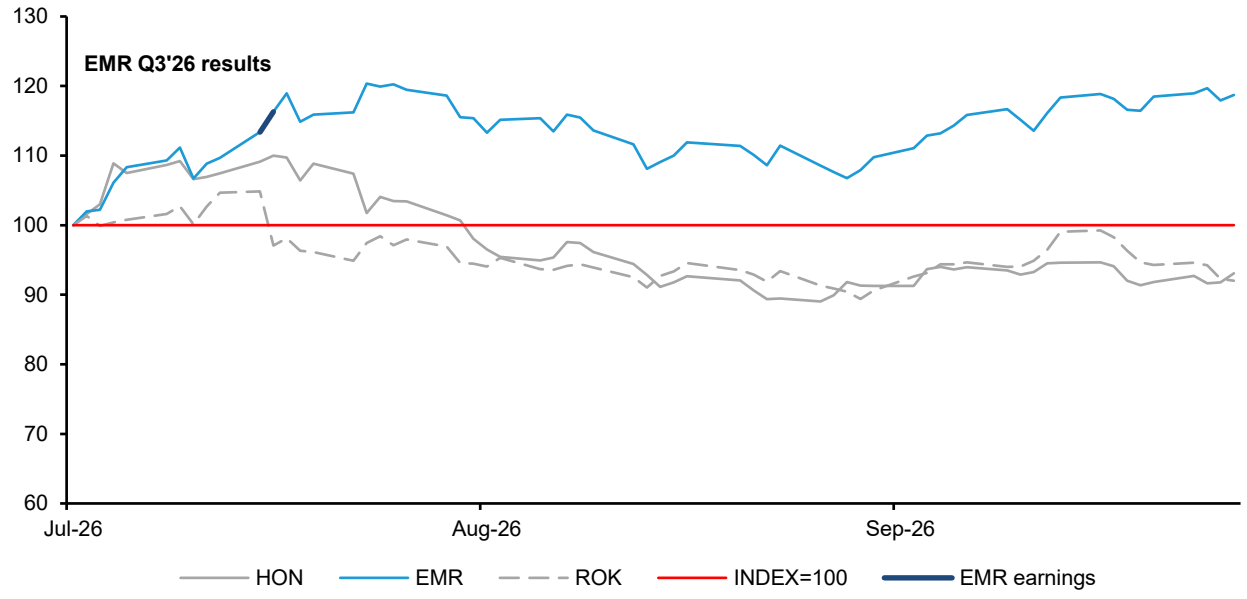
EMERSON (OUTPERFORM, TACTICALLY NEUTRAL)

We are expecting a largely uncontroversial quarter for EMR. We think this is a stock you were paid to hold into the print (looking at the massive outperformance we've seen vs. other names), but that also limits the "pop" on earnings outside of a massive beat / order activity (which we are not expecting). It's worth noting that we have seen sentiment from investors (LOs in particular) turning more positive on the name over the quarter which does explain some of the outperformance vs. ROK and HON this quarter. The general sentiment has been that EMR is doing well on results (vs. misses in the not so distance past) and both the AspenTech. and National Instruments acquisitions are doing well (despite being viewed as "too expensive" when they were made).

FY27 guide: We've had many conversations with investors on where the guide will land (since this is 4Q26 for EMR). We think the company will come out in the 4 - 6% range on organic, with incrementals around 40%. EMR is generally conservative on setting their guide to give them room to beat and raise going into the year and we do not expect them to start FY27 with an aggressive outlook (especially when parts of the story like the middle east are still subject to significant volatility).

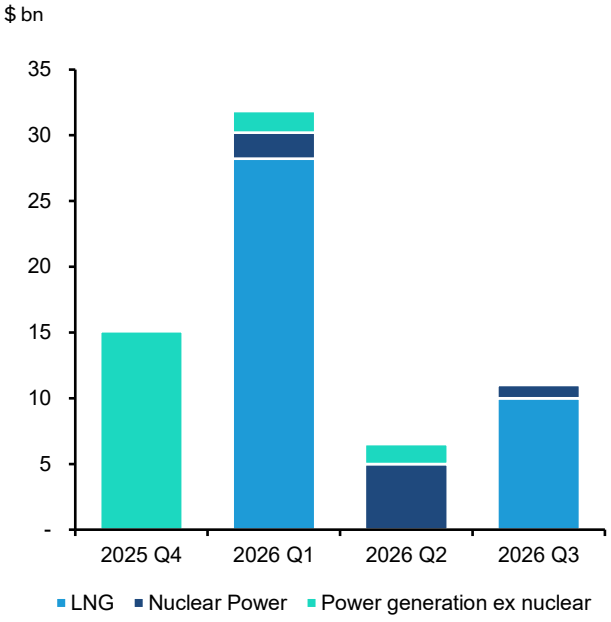
What could get investors more excited: We continue to believe that LNG and power build in North America will drive EMR's mid-term growth story. This should theoretically show up in the project funnel for EMR in the near-term (and possibly this quarter as we saw it last quarter). While it is hard to forecast these numbers accurately (or the timing of when they show up in pipelines), we believe both these markets are a HSD+ growth opportunity for EMR. Currently, the project funnel sits at ~ $12.4B and up ~$1.2B in the last quarter, and ~2/3rd of that growth came specifically from power and LNG. Another sequential acceleration here could be a catalyst but given it's hard to predict timing we are more neutral for short-term investors looking to play the print.

EXHIBIT 9: **Share price evolution past 3 months**



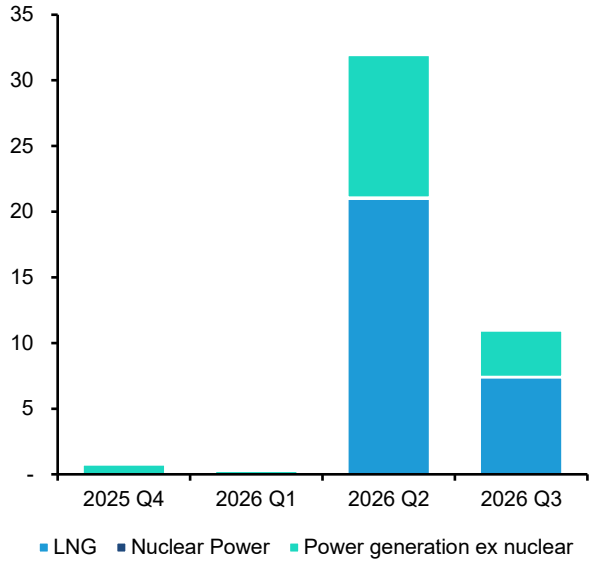
Source: Bloomberg, Bernstein analysis

EXHIBIT 10: **LNG and power generation project announced in North America region**



Source: Global data, Bernstein analysis

EXHIBIT 11: **LNG and power generation project construction starts in North America region**



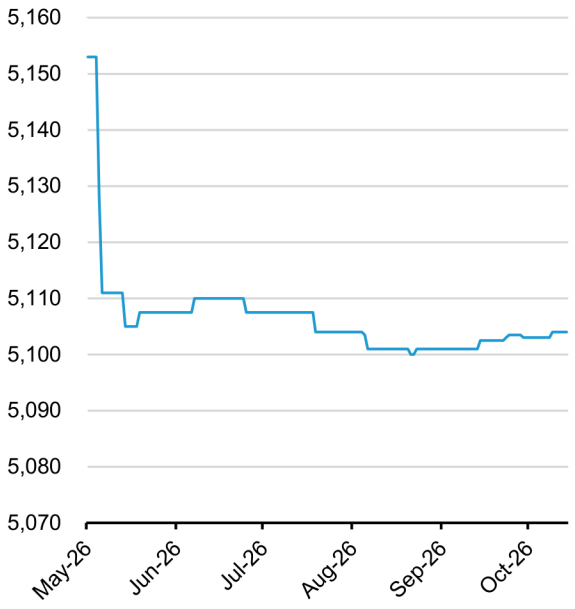
Source: Global data, Bernstein analysis

EXHIBIT 12: **EMR cons.vs reported**

	Revenue reported	Revenue Cons.	Diff (Report. vs Cons.)	Dil EPS reported ($)	Dil EPS Cons.($)	Diff (Report. vs Cons.)	Price change on result day
2024 Q4	4,619	4,561	1%	1.48	1.47	1%	7%
2025 Q1	4,175	4,223	-1%	1.38	1.28	8%	-2%
2025 Q2	4,432	4,381	1%	1.48	1.41	5%	2%
2025 Q3	4,553	4,600	-1%	1.52	1.51	1%	-5%
2025 Q4	4,855	4,898	-1%	1.62	1.62	0%	-4%
2026 Q1	4,346	4,349	0%	1.46	1.41	4%	2%
2026 Q2	4,562	4,595	-1%	1.54	1.53	1%	2%
2026 Q3	4,873	4,804	1%	1.71	1.68	2%	3%

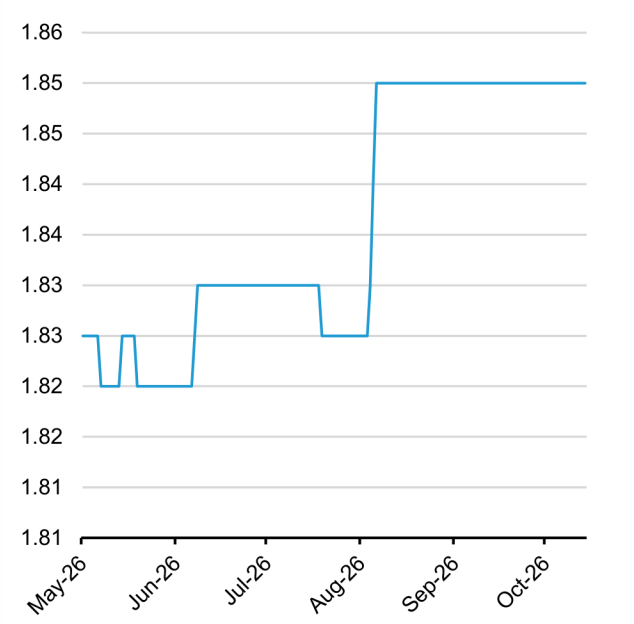
Source: Bloomberg, Bernstein analysis

EXHIBIT 13: **EMR consensus revenue evolution (next reporting quarter)**



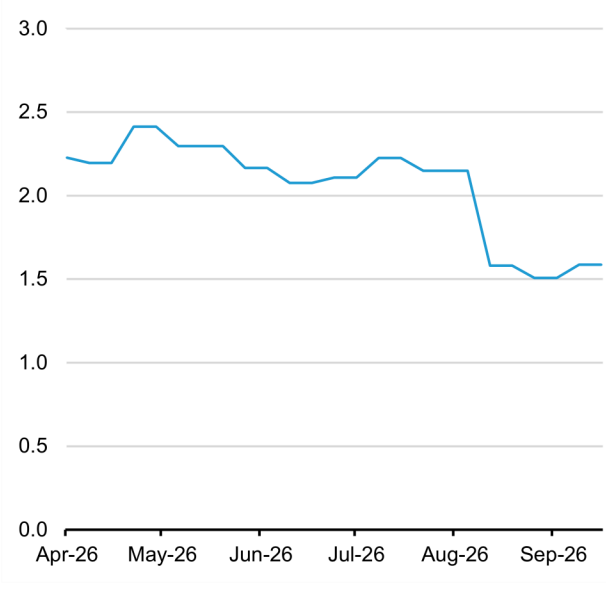
Source: Bloomberg, Bernstein analysis

EXHIBIT 14: **EMR consensus EPS evolution (next reporting quarter)**



Source: Bloomberg, Bernstein analysis

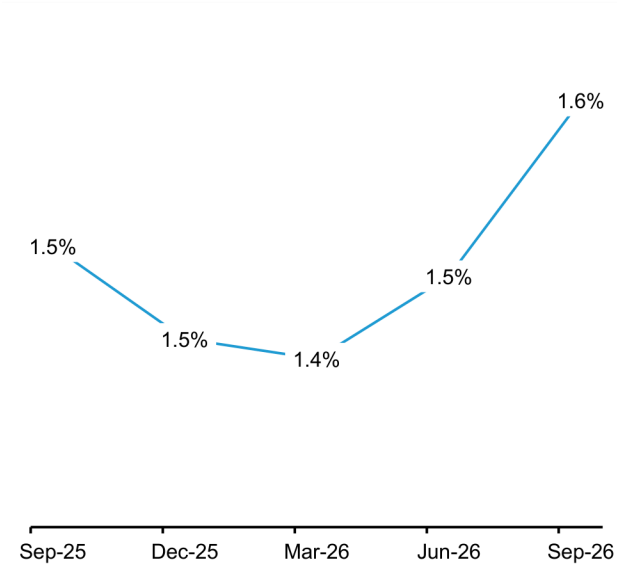
EXHIBIT 15: **EMR short interest as a % of total float**



Source: Bloomberg, Bernstein analysis

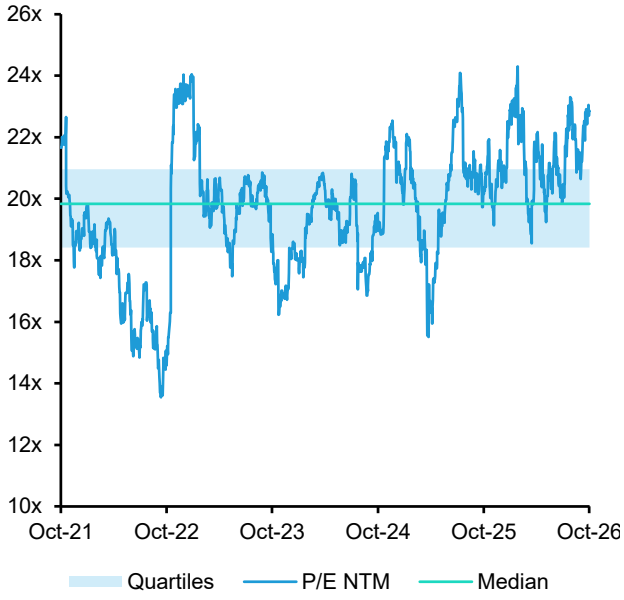
EXHIBIT 16: **EMR hedge fund managers ownership**

Based on publicly reported holdings



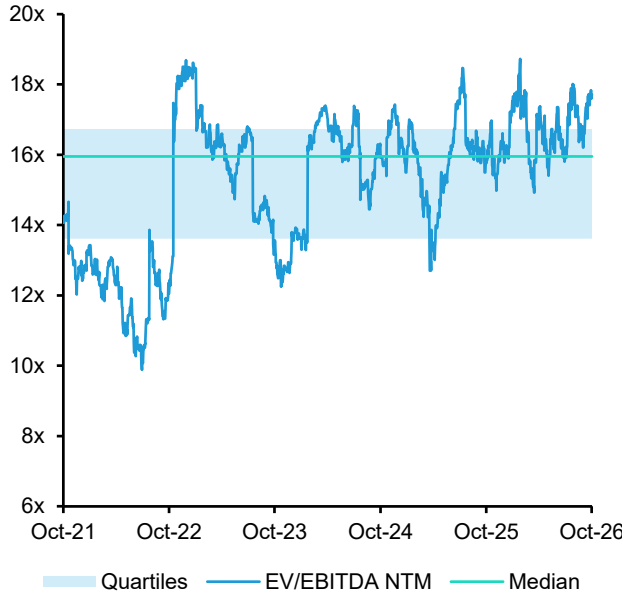
Source: Bloomberg, Bernstein analysis

EXHIBIT 17: **EMR P/E NTM**



Source: CapIQ, Bernstein analysis

EXHIBIT 18: **EMR EV/EBITDA NTM**



Source: CapIQ, Bernstein analysis

ROCKWELL AUTOMATION (MARKET-PERFORM, TACTICALLY NEUTRAL)

Investor sentiment on Rockwell has leaned negative since the last print. One of the most popular questions we've had from LOs is whether we have any measurable data proving reshoring (outside of project announcements) which they see as a key aspect of the ROK bull thesis. There is skepticism from the investor community that this is not happening. Our view on reshoring is that it will happen, but we are still in early days of it. ROK management did flag that they are not seeing a "wholesale release of CapEx", but more modernization interest at least for now. However, we are seeing positive demand signals in terms of new factory starts and companies announcing increased capex. Research by BCG also indicates that pharma, batteries, A&D , and other industrials will see capex up between 2 - 3x over the next ~4 years. But it is more of a gradual ramp, not a tsunami of capex that shows up in 2026.

We've also seen concerns around price cost after 3QFY26 numbers. While the company sounded quite good about passing costs on to cutsomers in our pre-close call, the worry has been that memory price increases will likely persist going into the next year as well (and that may lead to a timing mismatch on price cost). Rockwell bulls on the other hand contend that Christian (CFO) is very good at cost management, and the lever he can pull is to reduce discounting by the salesforce which shows up differently vs. a straight price increase along with smaller productivity levers to defray any near-term cost pressures.

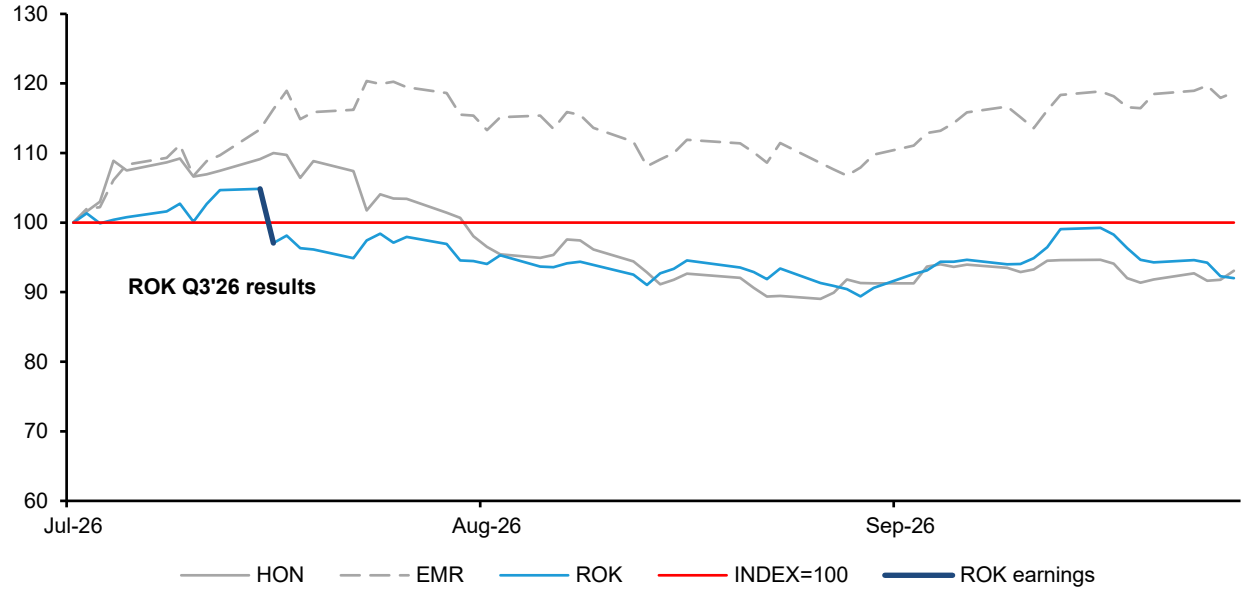
While these issues seem manageable, the bigger pushback we've received from Rockwell bears is on valuation. Rockwell is the second most expensive stock we cover on a fwd P/E basis and that has been the source of most recent investor discomfort when coupled withn concerns around growth / margin expansion opportunity. The sentiment we have heard is ROK can support the multiple it trades at only with DD+ organic growth and incrementals continuing at 50%+.That's been consistent feedback across our conversations. Similarly, there are concerns that incremental margins could come under pressure as memory costs continue to rise. Which brings us to the topic on everyone's mind … the FY 27 guide.

FY27 guide: Like with EMR, the upcoming print is 4Q26 and ROK's guide for the next financial year will be a key indicator of how the market reacts. We think Rockwell needs two things for the story to continue: an organic growth guide growth near DD, **AND** an incremental margin outlook close to 50%. Anything less, and we worry that the stock could de-rate.

On growth, ROK's through cycle algorithm is 6 - 9% on the top line. We think they will likely guide towards the upper end of that range given we are still in an industrial upcycle but think they stop short of a double digit guide. We do not think that is overly aggressive; we are in the early stages of a short-cycle inflection and IP is trending up (a number that Rockwell themselves have stated best predicts their performance). But we do think that a DD+ guide will be too aggresive to start the year. On margins, investors still continue to believe that there is a lot of margin expansion opportunity at ROK (as do we), however, with recent

price cost pressures, we worry that the incremental guide could come in lower than what we saw this year (~50%).

EXHIBIT 19: **Share price evolution past 3 months**



Source: Bloomberg, Bernstein analysis

EXHIBIT 20: **ROK cons. vs reported**

	Revenue reported	Revenue Cons.	Diff (Report. vs Cons.)	Adj. EBIT reported	EBIT Cons.	Diff (Report. vs Cons.)	Dil EPS reported ($)	Dil EPS Cons.($)	Diff (Report. vs Cons.)	Price change on result day
2024 Q4	2,036	2,062	-1%	315	400	-21%	2.54	2.39	6%	-6%
2025 Q1	1,881	1,884	0%	252	278	-9%	1.85	1.61	15%	13%
2025 Q2	2,001	1,964	2%	338	346	-2%	2.45	2.09	17%	12%
2025 Q3	2,144	2,065	4%	383	432	-11%	2.83	2.65	7%	-5%
2025 Q4	2,316	2,199	5%	100	461	-78%	3.34	2.92	14%	3%
2026 Q1	2,105	2,079	1%	374	400	-6%	2.75	2.47	12%	-5%
2026 Q2	2,239	2,145	4%	476	455	5%	3.30	2.89	14%	9%
2026 Q3	2,313	2,244	3%	503	520	-3%	3.49	3.37	4%	-7%

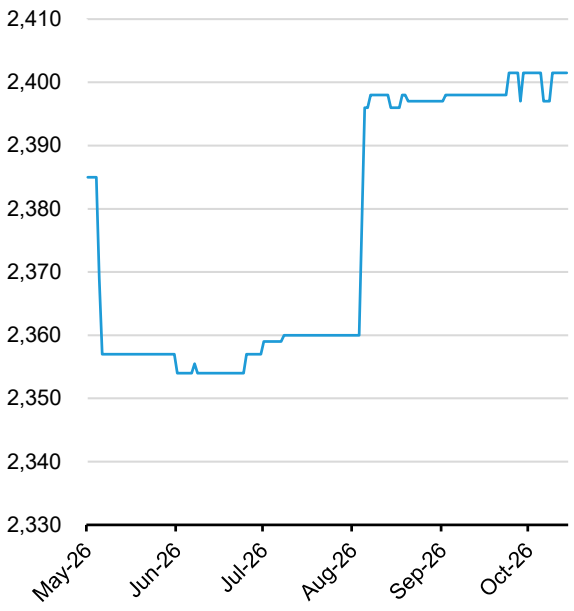
Source: Bloomberg, Bernstein analysis

	SECTOR	ESTIMATED CAPITAL ($BILLIONS, '20–'24)	ESTIMATED CAPITAL ($BILLIONS, '25–'29)	CAPITAL GROWTH
1	Data centers and AI compute	$1,000	~$3,700	3.7X
2	Energy infrastructure (power generation, transmission, and distribution)	~$760	~$1,260	1.7X
3	Pharma and biotech manufacturing	$125	$370	3X
4	Batteries and clean tech manufacturing	$160	$300	1.9X
5	Aerospace and defense	$95	$150	1.6X
6	Industrial reshoring and FDI (machinery, auto)	$70	$140	2X
	Total	**~$2.2 trillion**	**~$5.9 trillion**	**2.7X**

Source: Boston Consulting Group - Winning America's

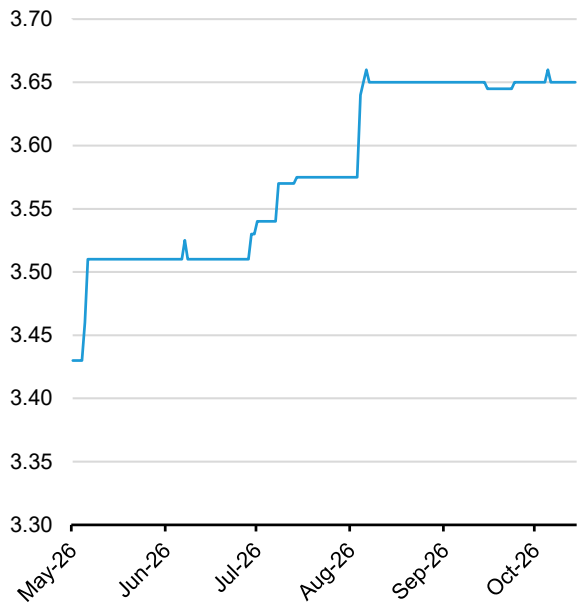
Reindustrialization

EXHIBIT 22: **ROK consensus revenue evolution (next reporting quarter)**



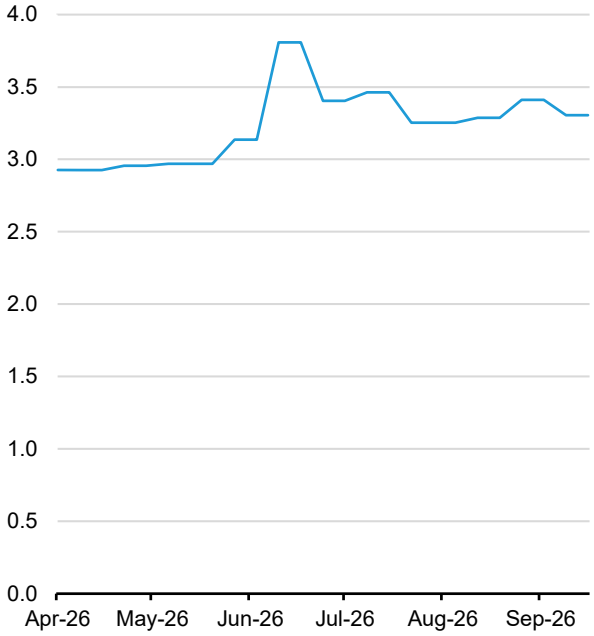
Source: Bloomberg, Bernstein analysis

EXHIBIT 23: **ROK consensus EPS evolution (next reporting quarter)**



Source: Bloomberg, Bernstein analysis

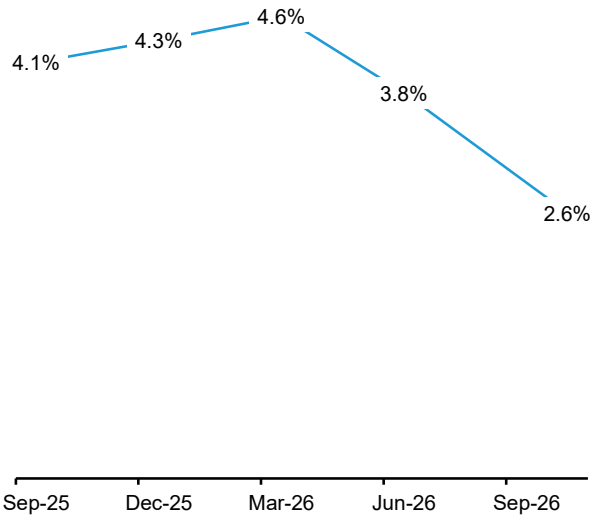
EXHIBIT 24: **ROK short interest as a % of total float**



Source: Bloomberg, Bernstein analysis

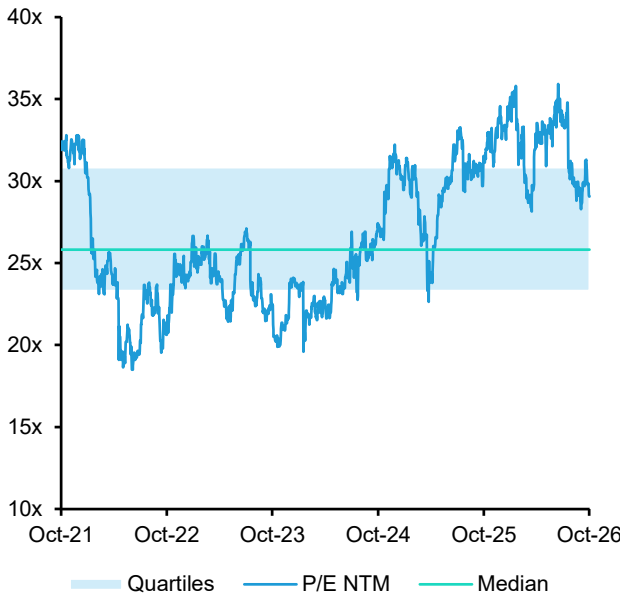
EXHIBIT 25: **ROK hedge fund managers ownership**

Based on publicly reported holdings



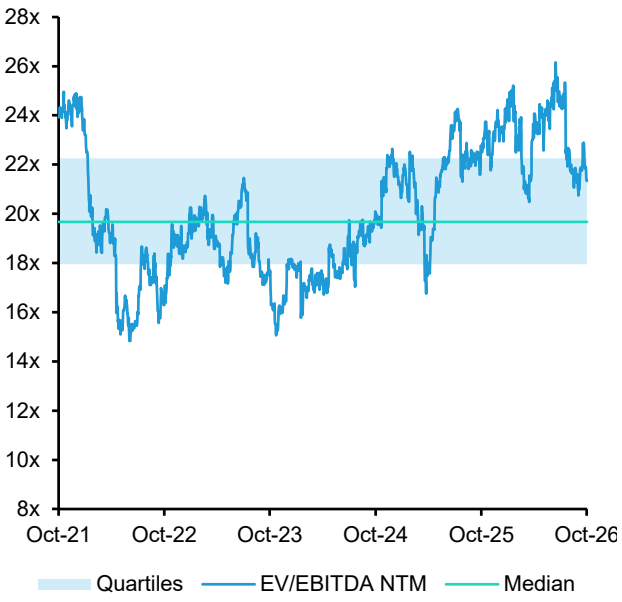
Source: Bloomberg, Bernstein analysis

EXHIBIT 26: **ROK P/E NTM**



Source: CapIQ, Bernstein analysis

EXHIBIT 27: **ROK EV/EBITDA NTM**



Source: CapIQ, Bernstein analysis

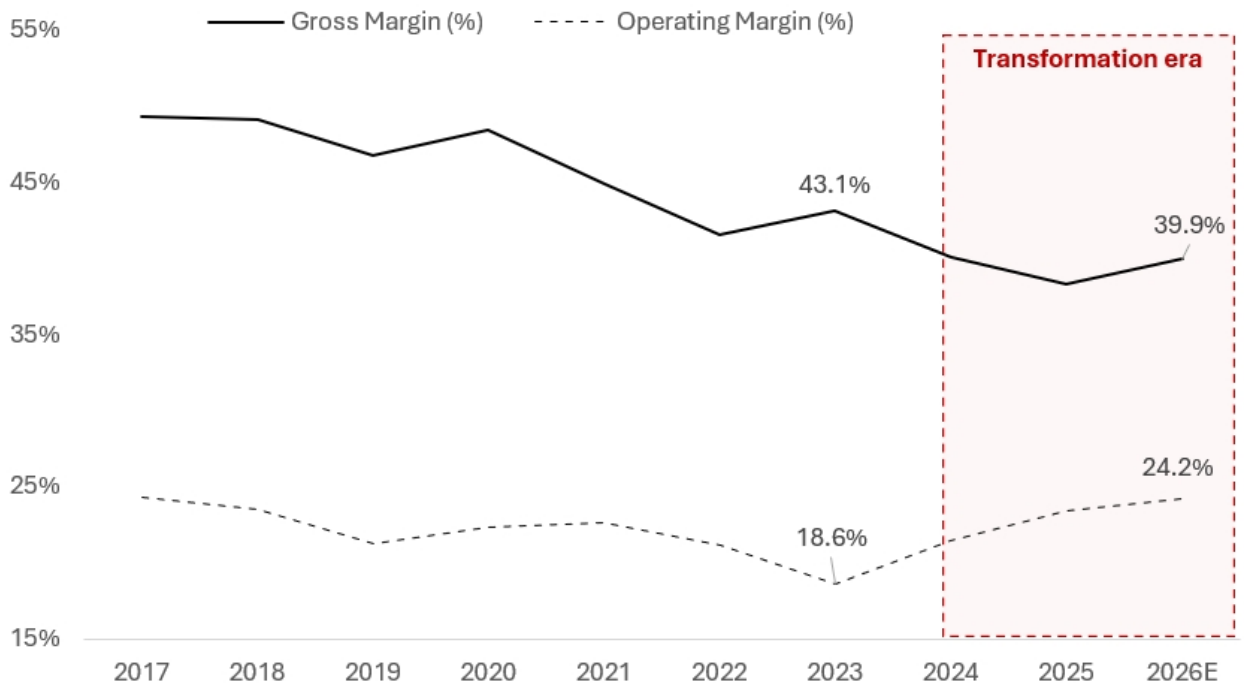
MMM (MARKET-PERFORM, TACTICALLY +VE)

We think 3M has an interesting setup going into the back half of the year (although not necessarily 3Q). The company has guided organic growth to ~3.5% in 3Q, but it does seem like the street has higher expectations. Most investors we have spoken with expect to see a 5%+ organic number to deploy incremental dollars into the name. From our meetings with management, we got the sense that this growth is unlikely to repeat in 3Q. Comps are tougher (vs. 3%+ in 3Q25) compared to 2Q (which had <2% organic growth in 2Q25). We also heard that there was unexpectedly heavy order activity in the last ~10 days of 2Q that

also helped accelerate 2Q26 organic growth above 5% and it is hard to predict if this will reoccur. We do think 3M will likely deliver above their guide, but the beat will likely be closer to 4% than 5%. This is with SIBG at MSD growth, TEBG at LSD+ and Consumer largely flat.

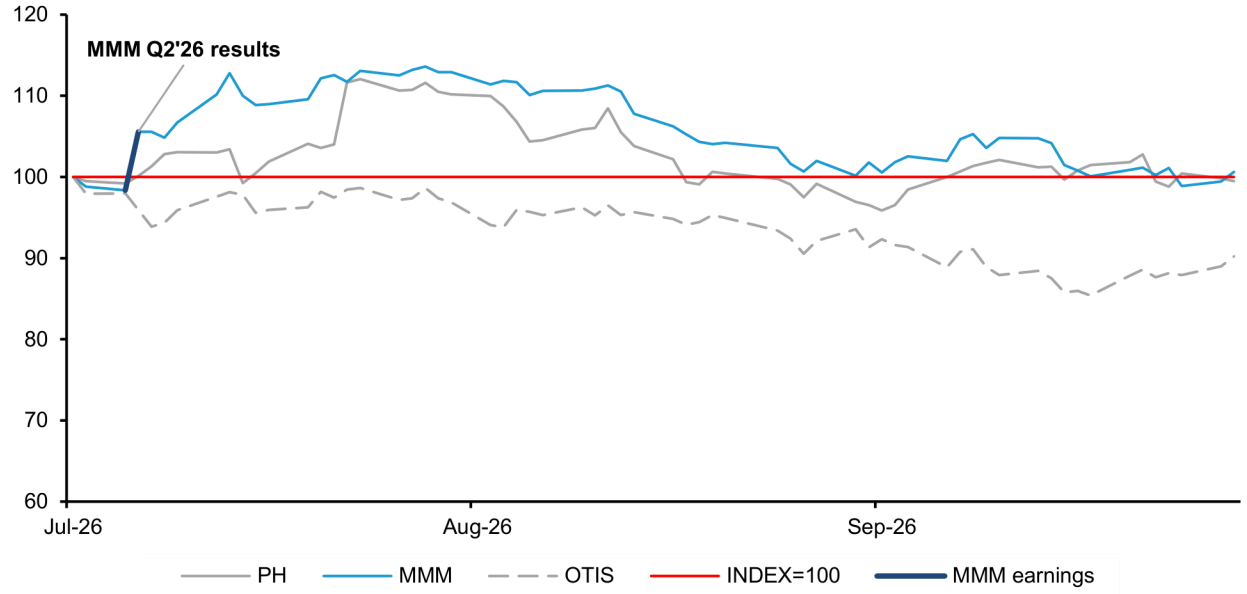
Where we think incremental excitement for investors comes from is on the margin front. We think the SG&A story has (largely) played out, but in our conversation with management in September, they highlighted potential for gross margin expansion. 3M was earlier a company with gross margins in the high 40%s but now is slighly below 40%. We expect the company to come out with a new gross margin guide (possibly in 3Q but most likely in 4Q along with the full year numbers for FY27). We think this could be ~500 bps to get 3M to ~45% gross margins by the end of the decade. This will largely flow into the bottom line and should imply DD+ EPS growth for the next 3 - 4 years which does make the stock seem more interesting given the current valuation. We discuss these themes in more detail in our upgrade note earlier this month.

EXHIBIT 28: **3M margin evolution; 2017 - 2026E**



Source: Bernstein Analysis, Company Reports

EXHIBIT 29: **Share price evolution past 3 months**



Source: Bloomberg, Bernstein analysis

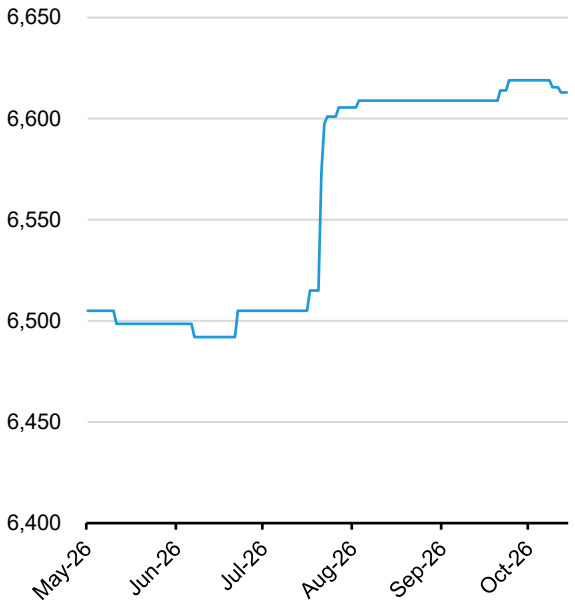
EXHIBIT 30: **MMM Cons. vs reported**

$m

	Revenue reported	Revenue Cons.	Diff (Report. vs Cons.)	Adj. EBIT reported	EBIT Cons.	Diff (Report. vs Cons.)	Dil EPS reported ($)	Dil EPS Cons.($)	Diff (Report. vs Cons.)	Price change on result day
2024 Q3	6,294	6,040	4%	1,397	1,356	3%	1.98	1.91	4%	-2%
2024 Q4	6,010	5,779	4%	1,144	1,146	0%	1.68	1.67	1%	4%
2025 Q1	5,954	5,769	3%	1,358	1,264	7%	1.88	1.77	6%	8%
2025 Q2	6,344	6,088	4%	1,507	1,437	5%	2.16	2.02	7%	-4%
2025 Q3	6,517	6,252	4%	1,559	1,488	5%	2.19	2.07	6%	8%
2025 Q4	6,133	5,995	2%	1,269	1,277	-1%	1.83	1.80	2%	-7%
2026 Q1	6,030	6,009	0%	1,426	1,419	0%	2.14	2.01	7%	-2%
2026 Q2	6,500	6,393	2%	1,615	1,570	3%	2.40	2.25	7%	7%

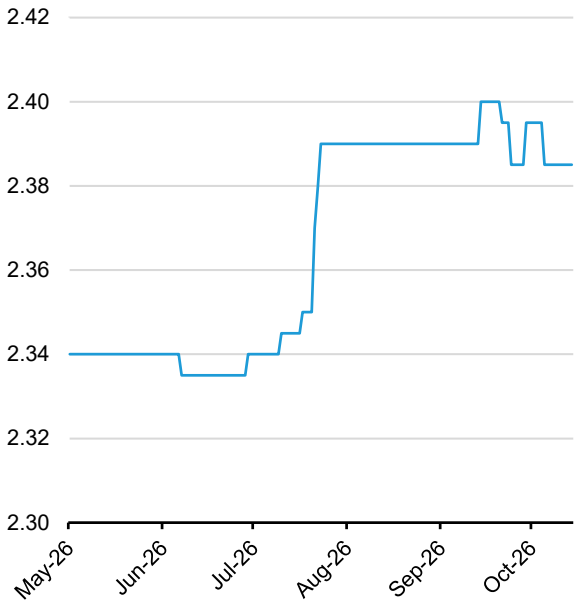
Source: Bloomberg, Bernstein analysis

EXHIBIT 31: **MMM Cons. revenue evolution (upcoming reporting quarter)**



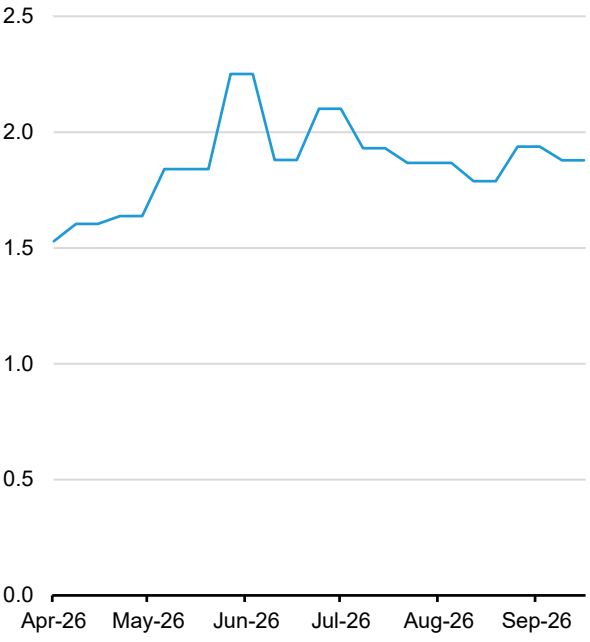
Source: Bloomberg, Bernstein analysis

EXHIBIT 32: **MMM Cons. EPS evolution (upcoming reporting quarter)**



Source: Bloomberg, Bernstein analysis

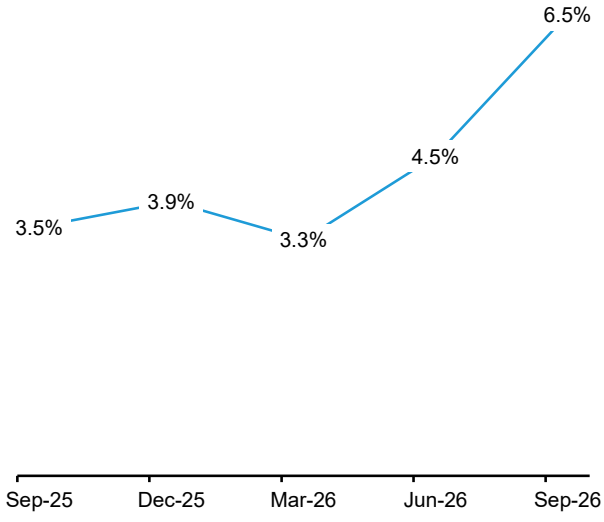
EXHIBIT 33: **MMM short interest as % of total float**



Source: Bloomberg, Bernstein analysis

EXHIBIT 34: **MMM hedge fund managers ownership**

Based on publicly reported holdings



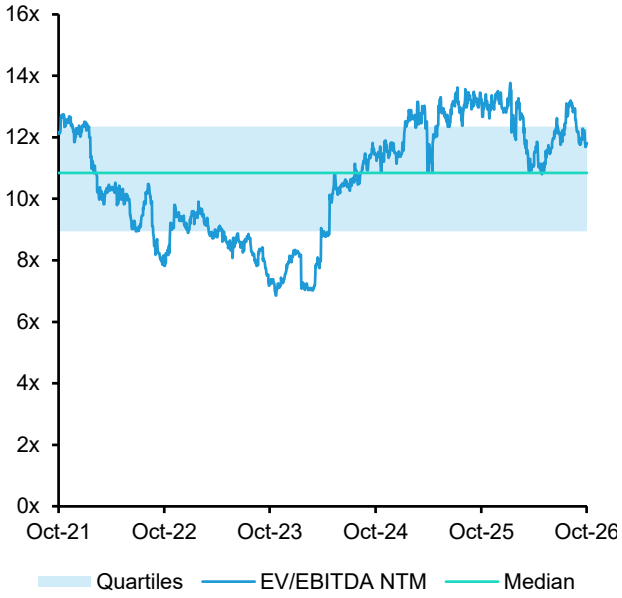
Source: Bloomberg, Bernstein analysis

EXHIBIT 35: **MMM P/E NTM**



Source: Bloomberg, Bernstein analysis

EXHIBIT 36: **MMM EV/EBITDA NTM**

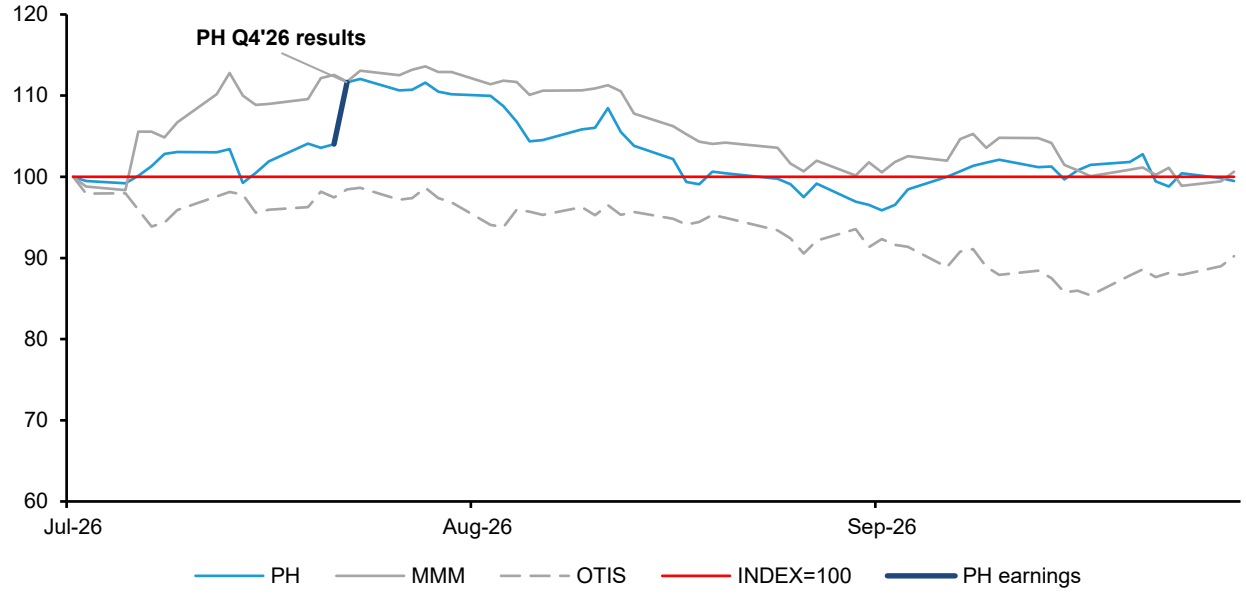


Source: Bloomberg, Bernstein analysis

PH (OUTPERFORM, TACTICALLY +VE)

We think PH is undervalued after the correction this quarter. The stock has given up most of its gains from a strong 4QFY26 print, but we see no reason why the numbers don't come in strong in 1QFY27. On the NA/International industrial business (which covers both short and long-cycle activity), 1QFY26 had very easy comps with LSD organic growth and LSD to MSD orders. Given we are still in an accelerating short cycle environment (approaching but not yet at mid-cycle), we think the strength we have seen in the last quarter should continue in 1QFY27. VA consensus has organic growth at ~7% for the quarter, which is in line with full-year guidance, but we think broader market signals (PMI, IP, etc.) point to a high likelihood of a beat on organic growth. We also think order growth is closer to what we saw in 4QFY26 (DD+). On Aerospace, PH is guiding between 7 - 10% organic with 1Q VA consensus at 11%. We think that is largely in-line with where PH should land for the quarter on aero; although as a flag we think that commercial aftermarket could see continued strength. PH has flagged that they are running up on tough comps for commercial aftermarket, but we are not really seeing weakness in that market. High jet fuel prices have not had a huge impact on service, the average age of the fleet continues to rise and retirements do not seem to be accelerating. Margins will likely come in weaker this quarter with the digestion of filtration group, but this has been telegraphed and we expect synergy realization to be relatively rapid (and delivered in <3 years). We have seen hedge funds largely trading the name, with selling pressure accelerating as the stock nears $1,100 and buying restarting as PH approaches $900. We would be surprised if that range doesn't move up with another strong showing on results.

EXHIBIT 37: **Share price evolution past 3 months**



Source: Bloomberg, Bernstein analysis

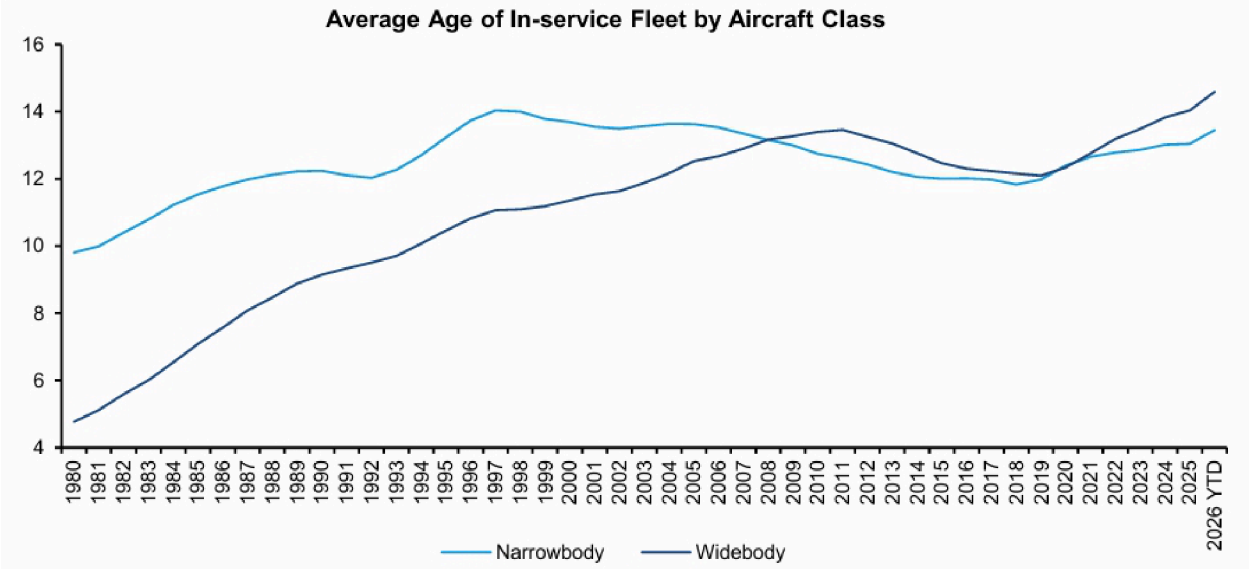
EXHIBIT 38: **PH Cons. vs reported**

$m

	Revenue reported	Revenue Cons.	Diff (Report. vs Cons.)	Adj. EBITA reported	EBITA Cons.	Diff (Report. vs Cons.)	Dil EPS reported ($)	Dil EPS Cons.($)	Diff (Report. vs Cons.)	Price change on result day
2025 Q1	4,904	4,894	0%	1,262	1,101	15%	6.20	6.12	1%	2%
2025 Q2	4,743	4,807	-1%	1,213	1,139	7%	6.53	6.23	5%	6%
2025 Q3	4,960	4,980	0%	1,304	1,163	12%	6.94	6.70	4%	1%
2025 Q4	5,243	5,105	3%	1,410	1,228	15%	7.69	7.11	8%	4%
2026 Q1	5,084	4,945	3%	1,394	1,188	17%	7.22	6.60	9%	8%
2026 Q2	5,174	5,064	2%	1,404	1,267	11%	7.65	7.15	7%	4%
2026 Q3	5,486	5,390	2%	1,464	1,358	8%	8.17	7.84	4%	-4%
2026 Q4	5,755	5,574	3%	1,614	1,431	13%	9.27	8.25	12%	7%

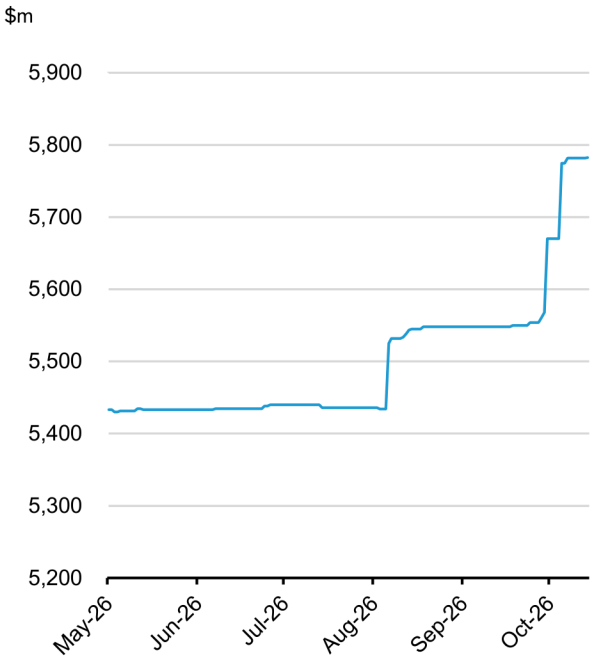
Source: Bloomberg, Bernstein analysis

EXHIBIT 39: **Fleet age continues to tick upwards**



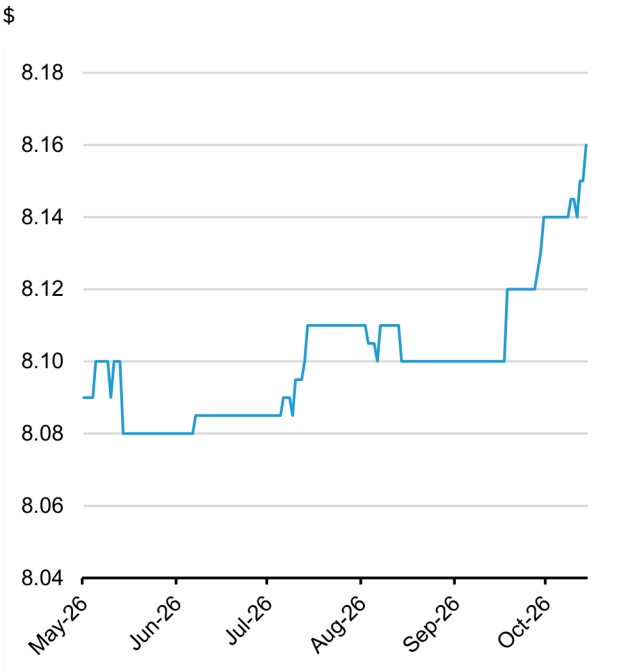
Source: IBA, Bernstein Aerospace and Defense team

EXHIBIT 40: **PH Cons. revenue evolution (upcoming reporting quarter)**



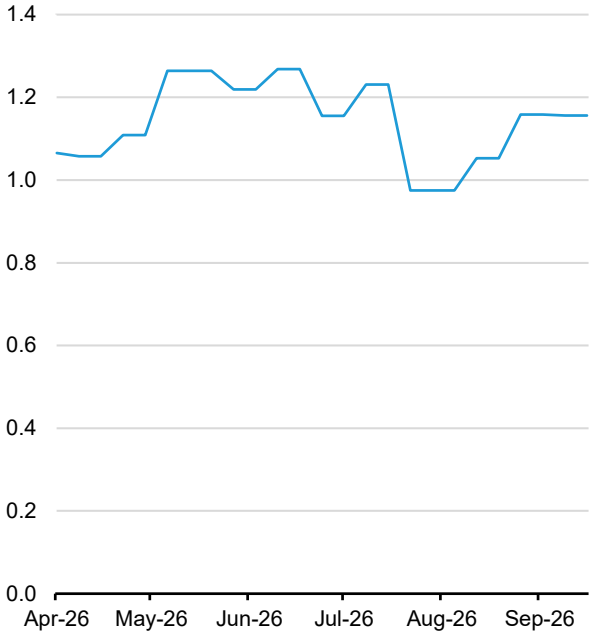
Source: Bloomberg, Bernstein analysis

EXHIBIT 41: **PH Cons. EPS evolution (upcoming reporting quarter)**



Source: Bloomberg, Bernstein analysis

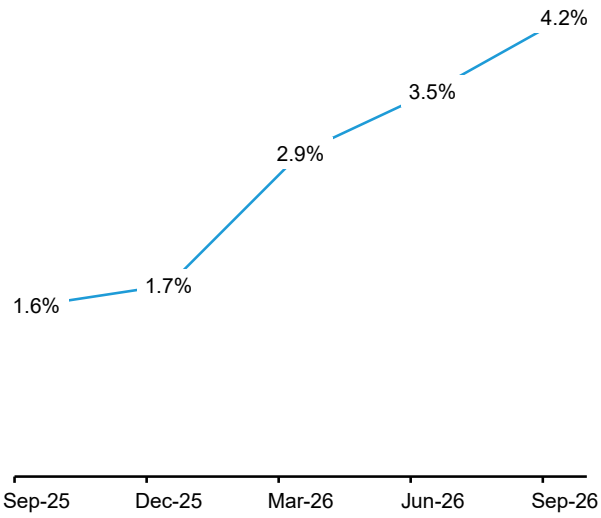
EXHIBIT 42: **PH short interest as % of total float**



Source: Bloomberg, Bernstein analysis

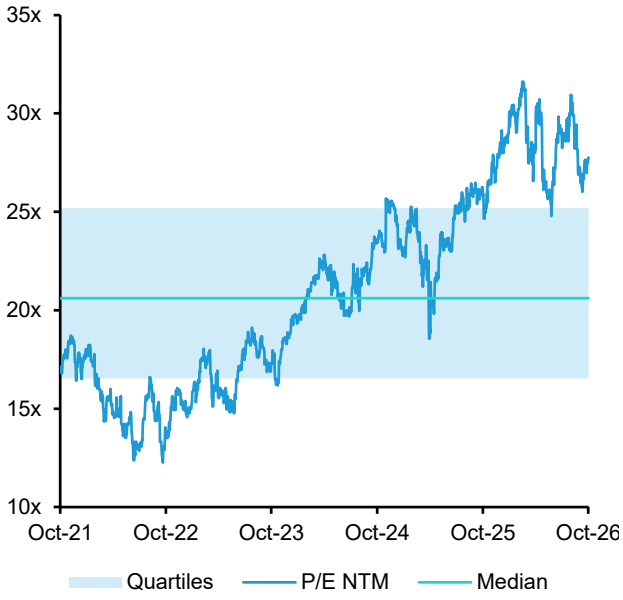
EXHIBIT 43: **PH hedge fund managers ownership**

Based on publicly reported holdings



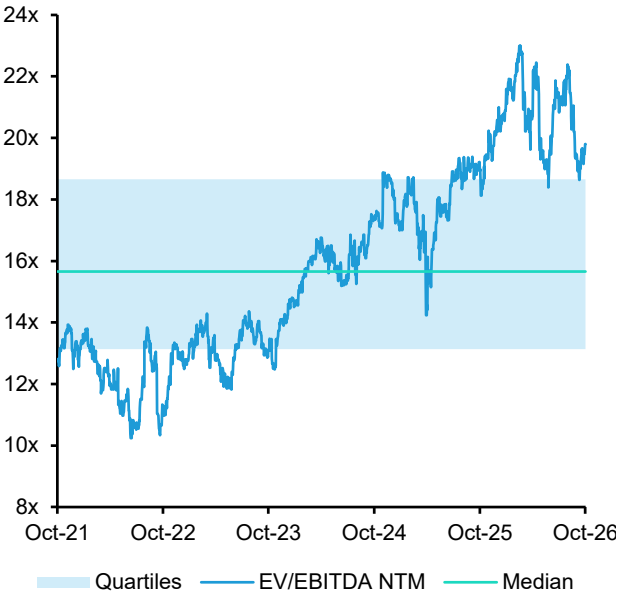
Source: Bloomberg, Bernstein analysis

EXHIBIT 44: **PH P/E NTM**



Source: Bloomberg, Bernstein analysis

EXHIBIT 45: **PH EV/EBITDA NTM**



Source: Bloomberg, Bernstein analysis

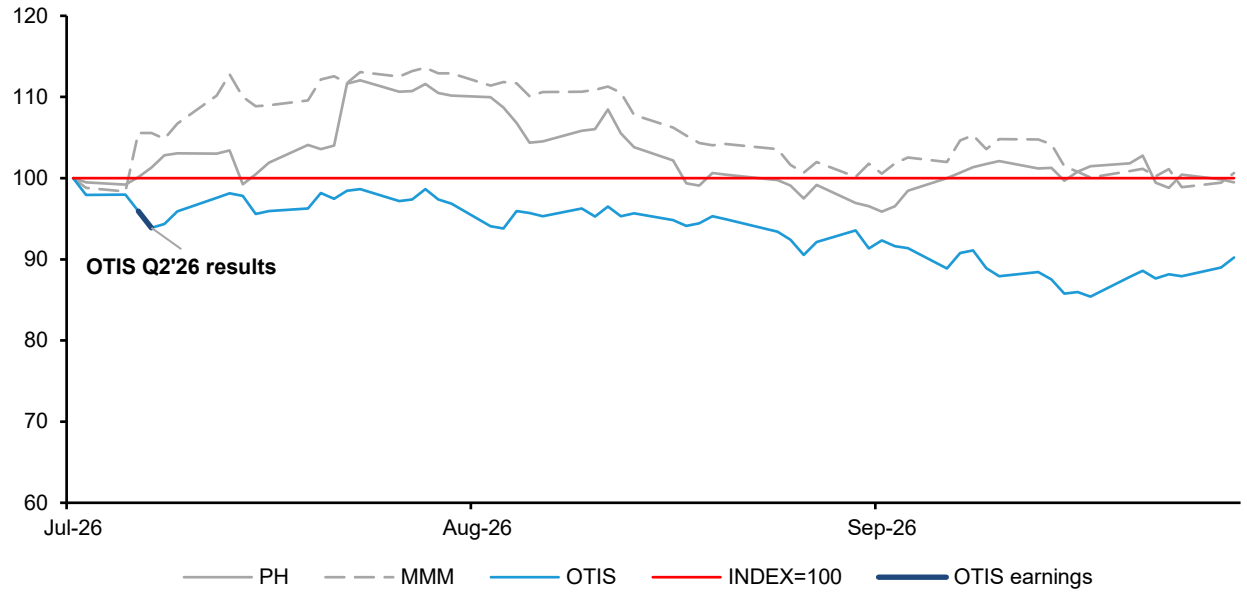
OTIS (OUTPERFORM, TACTICALLY NEUTRAL)

We continue to receive pushback from investors on our Outperform rating of Otis. However, at this point valuation has sunk to a point where we really do not think there is material downside remaining on the name. We are tactically neutral because leadership changes do create uncertainty - and we think the stock trades rangebound until we have a CEO successor announced. Based on past industrial CEO searches, we expect this to take a quarter or two (which implies an announcement in

early 2027).

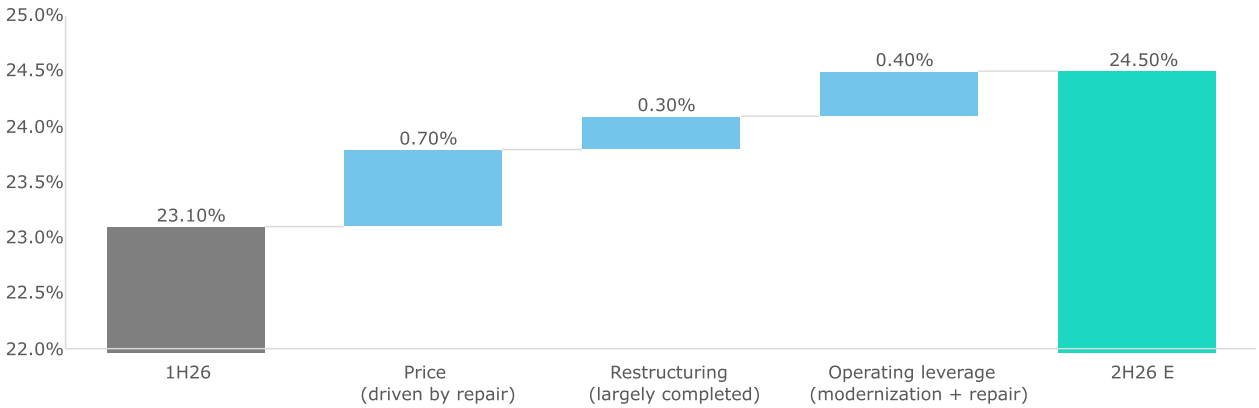
We remain unconcerned about financial performance into the quarter (but we do not think that is enough of a catalyst for the stock to work near-term). In our NDR with Otis management last month, we flagged our comfort with growth / margin assumptions. We also spoke with IR after it was announced that a new CEO would be appointed, and they re-iterated the guide. We expect modernization will taper to mid-teens, but management seemed confident in this level of growth going forward. Repair will also be HSD - LDD growth and offset some of the margin headwinds from modernization (since repair is the most margin accretive of among repair, maintenance, and modernization). Management also highlighted confidence in the sequential margin ramp into the back half of the year. We have received numerous questions from investors on Otis' ability to meet their guide since it does assume a ~150 bps margin increase. However, the way to break this up is roughly half the expansion comes from price (driven primarily by repair which is already locked in), another 30 bps comes from restructuring (also completed) and the remainder of around 40 - 50 bps comes from operating leverage (driven by repair and modernization where growth is not really in question). This is accounting for the fact that there will be some level of elevated investments and partial postponement of micro-pricing realization related to maintenance (to prevent churn).

EXHIBIT 46: **Share price evolution past 3 months**



Source: Bloomberg, Bernstein analysis

EXHIBIT 47: **Service margin ramp bridge (1H vs 2H 26)**



Source: Discussions with management, Bernstein Analysis

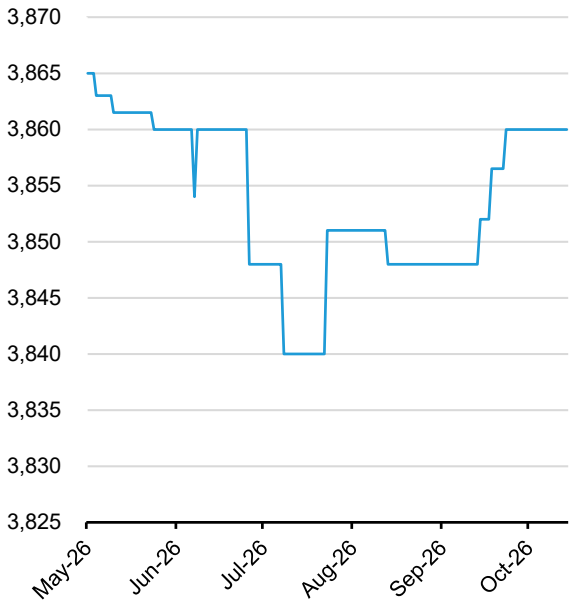
EXHIBIT 48: **OTIS Cons. vs reported**

$m

	Revenue reported	Revenue Cons.	Diff (Report. vs Cons.)	Adj. EBIT reported	EBIT Cons.	Diff (Report. vs Cons.)	Dil EPS reported ($)	Dil EPS Cons.($)	Diff (Report. vs Cons.)	Price change on result day
2024 Q3	3,548	3,560	0%	599	613	-2%	0.96	0.97	-1%	-3%
2024 Q4	3,675	3,635	1%	583	601	-3%	0.93	0.96	-3%	-1%
2025 Q1	3,350	3,402	-2%	560	564	-1%	0.92	0.91	2%	-7%
2025 Q2	3,595	3,702	-3%	612	618	-1%	1.05	1.03	3%	-12%
2025 Q3	3,690	3,643	1%	632	610	4%	1.05	1.00	5%	2%
2025 Q4	3,796	3,879	-2%	630	651	-3%	1.03	1.04	-1%	-2%
2026 Q1	3,566	3,500	2%	550	548	0%	0.89	0.89	0%	-1%
2026 Q2	3,859	3,746	3%	587	602	-2%	1.01	1.01	0%	-2%

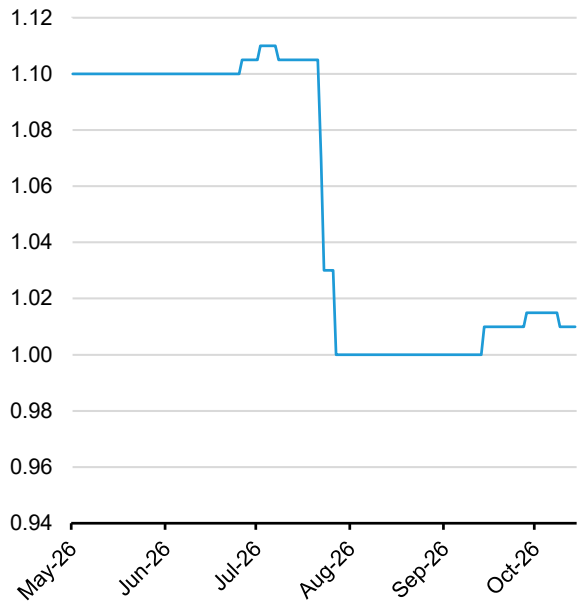
Source: Bloomberg, Bernstein analysis

EXHIBIT 49: **OTIS Cons. revenue evolution (upcoming reporting quarter)**



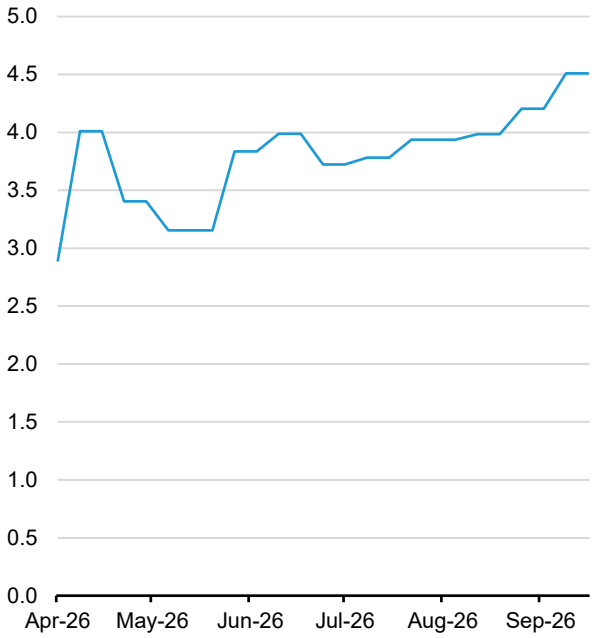
Source: Bloomberg, Bernstein analysis

EXHIBIT 50: **OTIS Cons. EPS evolution (upcoming reporting quarter)**



Source: Bloomberg, Bernstein analysis

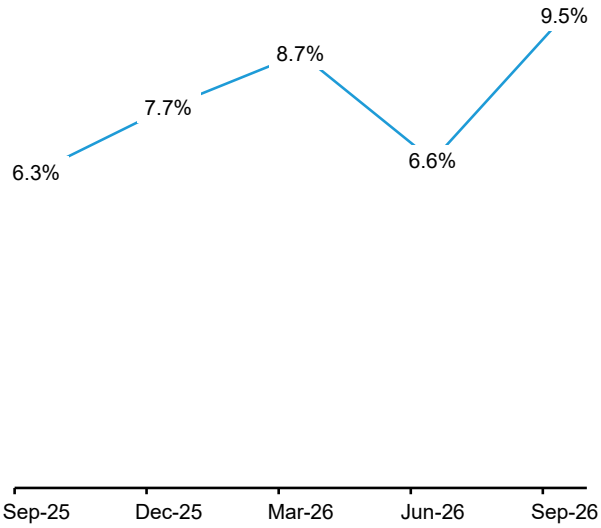
EXHIBIT 51: **OTIS short interest as % of total float**



Source: Bloomberg, Bernstein analysis

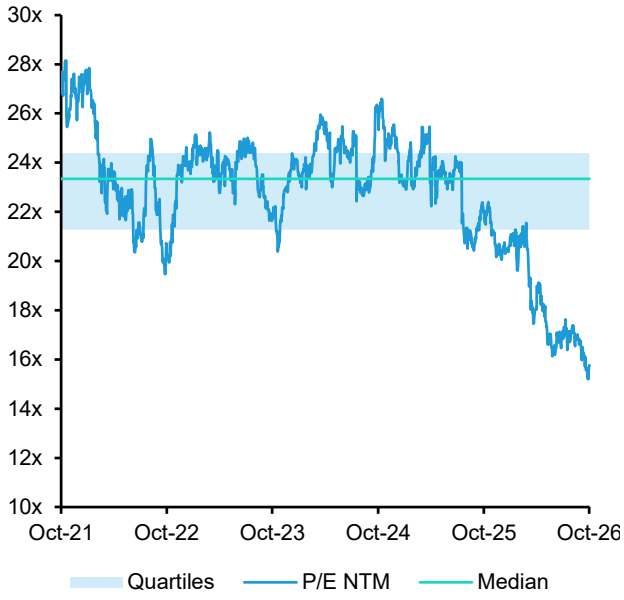
EXHIBIT 52: **OTIS hedge fund managers ownership**

Based on publicly reported holdings



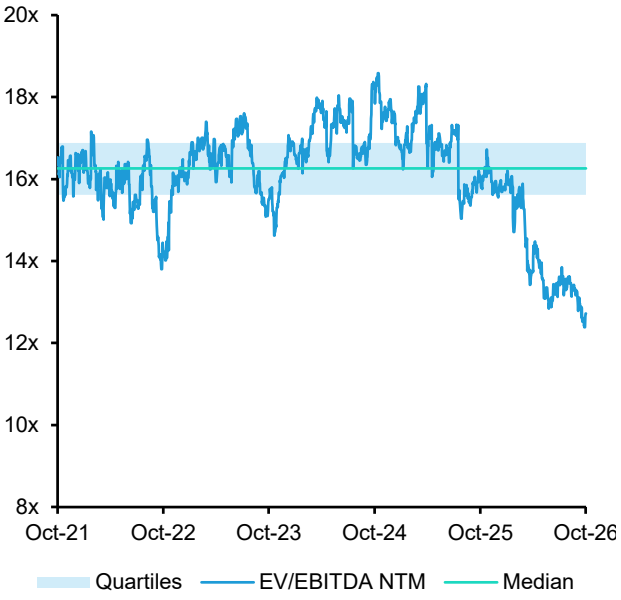
Source: Bloomberg, Bernstein analysis

EXHIBIT 53: **OTIS P/E NTM**



Source: Bloomberg, Bernstein analysis

EXHIBIT 54: **OTIS EV/EBITDA NTM**



Source: Bloomberg, Bernstein analysis

I. REQUIRED DISCLOSURES

References to "Bernstein" or the “Firm” in these disclosures relate to the following entities: Bernstein Institutional Services LLC (April 1, 2024 onwards), Sanford C. Bernstein & Co., LLC (pre April 1, 2024), Bernstein Autonomous LLP, BSG France S.A. (April 1, 2024 onwards), Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited, Sanford C. Bernstein Japan KK（サンフォード・C・バーンスタイン株式会社）and analysts employed by Société Générale Africa Technologies & Services to produce Bernstein research under a Global Services Agreement in place between Bernstein and Société Générale.

Bernstein is part of a joint venture between Société Générale (SG) and AllianceBernstein, L.P. (AB). Unless specifically noted otherwise, for purposes of these disclosures, references to Bernstein’s “affiliates” relate to both SG and AB and their respective affiliates.

VALUATION METHODOLOGY

Honeywell International Inc

We rate Honeywell Market-Perform with a $254 target price. Based on updates per guidance, we use an NTM + 1 EPS of $10.36 at a 20x forward PE multiple. We then add ~$39 per share of value from their stake in QNT (assuming a QNT TP of $95 per Bernstein coverage).

Emerson Electric Co

We value Emerson using an 18x EV/EBITDA ratio and an NTM + 1 EBITDA estimate of $6.3B to reach our target price of $186.

Rockwell Automation Inc

We value Rockwell using a 23x EV/EBITDA ratio and an NTM + 1 EBITDA estimate of $2.6B to reach our target price of $514.

3M Co

We value 3M using a DCF, with a terminal growth rate of 3.7% and WACC of 8.96% on our forecasted cash flows. We assume present value of PFAS related cash outflows (net of insurance recoveries) of $6.0B. This implies a target price of $171.

Parker-Hannifin Corporation

We value Parker-Hannifin using a 22x target EV/EBITDA multiple and an NTM + 1 EBITDA estimate of $7.9B to reach our target price of $1,218. This includes estimated cashflows + debt from FG and Circor acquisitions.

Otis Worldwide Corporation

We value Otis using a 14x target EV/EBITDA multiple and an NTM + 1 EBITDA estimate of $2.9B to reach our target price of $90.

RISKS

Honeywell International Inc

Upside: (i) Continued growth in Building Automation, Positive uptake of Forge product reflecting in more recurring revenue, Margin expansion in IA business post WWS / PPS spin

Downside: (i) Power prices stay stable or decline as supply comes online (reducing impetus for building automation), (ii) Weakness / delays in LNG projects which market is not pricing, (iii) Organizational drag from spin-off of aerospace

Emerson Electric Co

Downside: (i) Weakness in semiconductors / delays in LNG and power projects (all of which are key EMR growth vectors) (ii) AI-replacement threat materializes for EMR software (iii) Weakness in incremental margins (impacts margin expansion story)

Rockwell Automation Inc

Upside: (i) Continued support from reshoring / CapEx cycle, (ii) ARR growth reaches double-digits and stays there, (iii) Structural margin growth in intelligent devices segment

Downside: (i) CapEx projects continued to be delayed, or reshoring peters out, (ii) Prolonged weakness in ARR (indicating service demand has not materialized), (iii) Cost-take out initiatives do not expand margins

3M Co

Downside: (i) AI capex spending slows which impacts short-cycle growth for 3M, (ii) PFAS outlook worsens for 3M

Upside: (i) Sustained industrial and consumer cycle reversal

Parker-Hannifin Corporation

Downside: (i) Weak integration of FG / Circor acquisition, (ii) Any growth risks; given high multiple cracks to growth thesis will cause stock down-rate, (iii) Elevated oil prices impacting outlook for aero. aftermarket

Otis Worldwide Corporation

Downside: (i) Competition from other OEMs for modernization business, (ii) China service strategy slows, (iii) ISP risk materializes (especially around maintenance and repair)

RATINGS DEFINITIONS, BENCHMARKS AND DISTRIBUTION

EQUITY RATINGS DEFINITIONS

Bernstein brand

The Bernstein brand rates stocks based on forecasts of relative performance for the next 12 months versus the S&P 500 for stocks listed on the U.S. and Canadian exchanges, versus the Bloomberg Europe Developed Markets Large and Mid Cap Price Return Index EUR (EDME) for stocks listed on the European exchanges and emerging markets exchanges outside of the Asia Pacific region, versus the Bloomberg Japan Large and Mid Cap Price Return Index USD (JPL) for stocks listed on the Japanese exchanges, and versus the Bloomberg Asia ex-Japan Large and Mid Cap Price Return Index (ASIAX) for stocks listed on the Asian (ex-Japan) exchanges -unless otherwise specified.

The Bernstein brand has three categories of ratings:

- Outperform: Stock will outpace the market index by more than 15 pp
- Market-Perform: Stock will perform in line with the market index to within +/-15 pp
- Underperform: Stock will trail the performance of the market index by more than 15 pp

Coverage Suspended: Coverage of a company under the Bernstein research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Not Covered (NC) denotes companies that are not under coverage.

Bernstein brand stock ratings are based on a 12-month time horizon.

Autonomous brand – common stocks

The Autonomous brand rates common stocks as indicated below. As our benchmarks we use the Bloomberg Europe 600 Financials Price Return Index (E600BK) and Bloomberg Europe Dev Mkt Financials Large and Mid Cap Price Ret Index EUR (EDMFI) index for developed European banks and Payments, the Bloomberg Europe 600 Insurance Price Return Index (E600IN) for European insurers, the S&P 500 and S&P Financials for US banks and Payments coverage, S5LIFE for US Insurance, the S&P

Insurance Select Industry (SPSIINS) for US Non-Life Insurers coverage, the Bloomberg Emerging Markets Financials Large, Mid and Small Cap Price Return Index (EMLSF) for emerging market banks and insurers and Payments, and the Bloomberg Japan Financials Large & Mid Cap Price Return Index (JPFILM) for Japanese Financials. Ratings are stated relative to the sector (not the market).

The Autonomous brand has three categories of common stock ratings:

- Outperform (OP): Stock will outpace the relevant index by more than 10 pp
- Neutral (N): Stock will perform in line with the market index to within +/-10 pp
- Underperform (UP): Stock will trail the performance of the relevant index by more than 10 pp

Coverage Suspended: Coverage of a company under the Autonomous research brand has been suspended. Ratings and price targets are suspended temporarily, are no longer current, and should therefore not be relied upon.

Not Rated: A rating assigned when the stock cannot be accurately valued, or the performance of the company accurately predicted, at the present time. The covering analyst may continue to publish research reports on the company to update investors on events and developments.

Those denoted as 'Feature' (e.g., Feature Outperform FOP, Feature Under Outperform FUP) are our core ideas.

Not Covered (NC) denotes companies that are not under coverage.

Autonomous brand common stock ratings are based on a 12-month time horizon.

Autonomous brand – preferred stocks

The Autonomous brand has three categories of preferred stock ratings:

- Outperform (OP): The total return of the preferred instrument is expected to outperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Neutral (N): The total return of the preferred instrument is expected to perform in line with preferred securities of other issuers operating in similar sectors or rating categories over the next six months.
- Underperform (UP): The total return of the preferred instrument is expected to underperform preferred securities of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous preferred stock ratings are based on a 6-month time horizon.

AUTONOMOUS CREDIT RESEARCH

Where this report contains investment recommendations for credit instruments, as defined in article 3(1)(35) of the Market Abuse Regulation, the information below is presented to comply with its disclosure requirements.

The report may also include reference(s) to published opinions by other Autonomous or Bernstein analysts covering the equity securities of the issuer(s) referenced herein. Please note an investment recommendation for credit instruments published by the author(s) of this report may differ from the published view of the analyst covering equity securities for the issuer(s) contained in this report and vice versa.

CREDIT RATINGS DEFINITIONS

The Autonomous brand has three categories of credit ratings:

- Credit Outperform (C-OP): The total return of the Reference Credit Instrument is expected to outperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.
- Credit Neutral (C-N): The total return of the Reference Credit Instrument is expected to perform in line with the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

- Credit Underperform (C-UP): The total return of the Reference Credit Instrument is expected to underperform the credit spread of bonds of other issuers operating in similar sectors or rating categories over the next six months.

Autonomous credit ratings are based on a 6-month time horizon.

A list of all investment recommendations produced by the author(s) of this report alongside credit ratings history are available upon request.

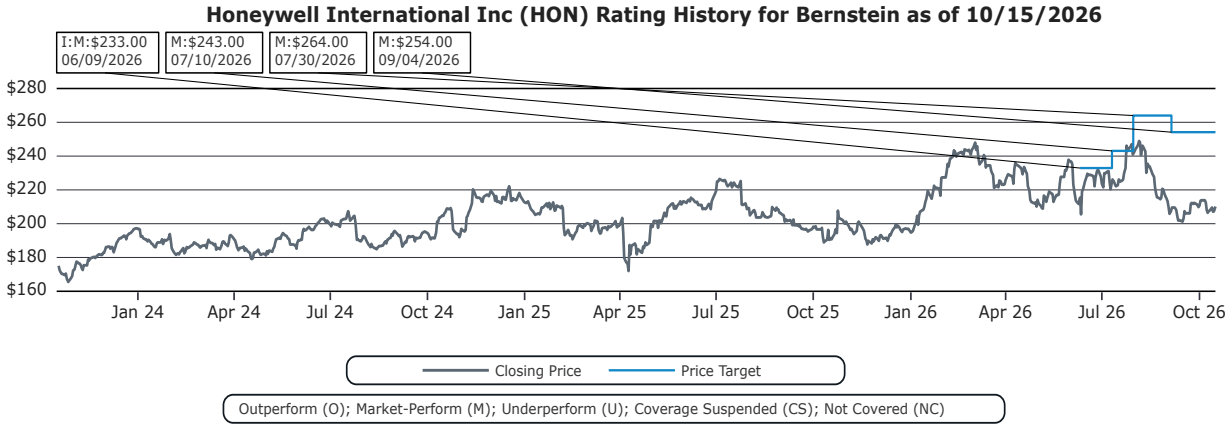
It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e. the private side) within the Firm, and into other areas, units, groups or affiliates (i.e. public side) of the Firm

DISTRIBUTION OF EQUITY RATINGS/INVESTMENT BANKING SERVICES

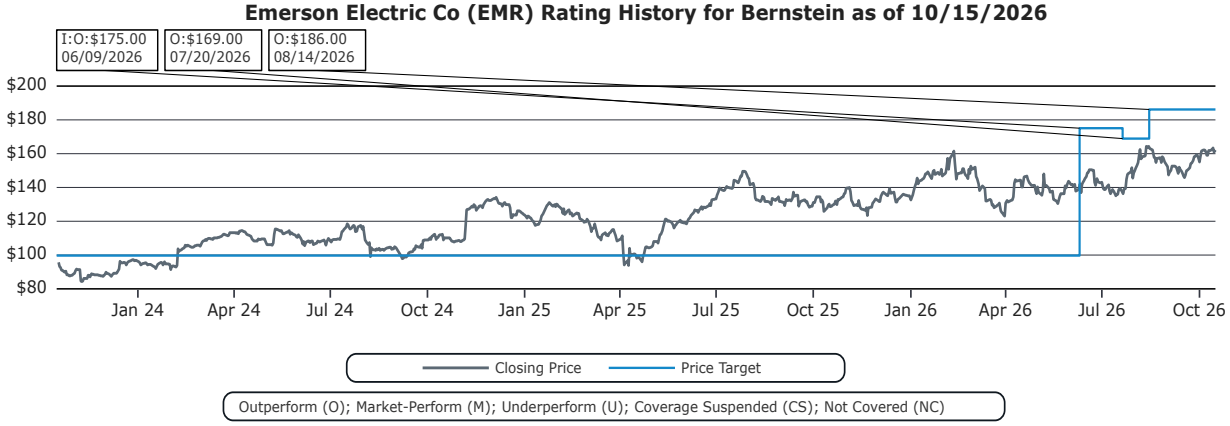
Equity Rating	Market Abuse Regulation (MAR) and FINRA Rating Category	Global Rating Distribution	Investment Banking Relationships*
Outperform	BUY	52.3%	14.2%
Market-Perform (Bernstein Brand) Neutral (Autonomous Brand)	HOLD	35.6%	16.1%
Underperform	SELL	12.1%	13.6%

* These figures represent the percentage of companies within each equity rating category for which affiliates of Bernstein have provided investment banking services within the previous 12 months.
As of September 30, 2026. All figures are updated quarterly.

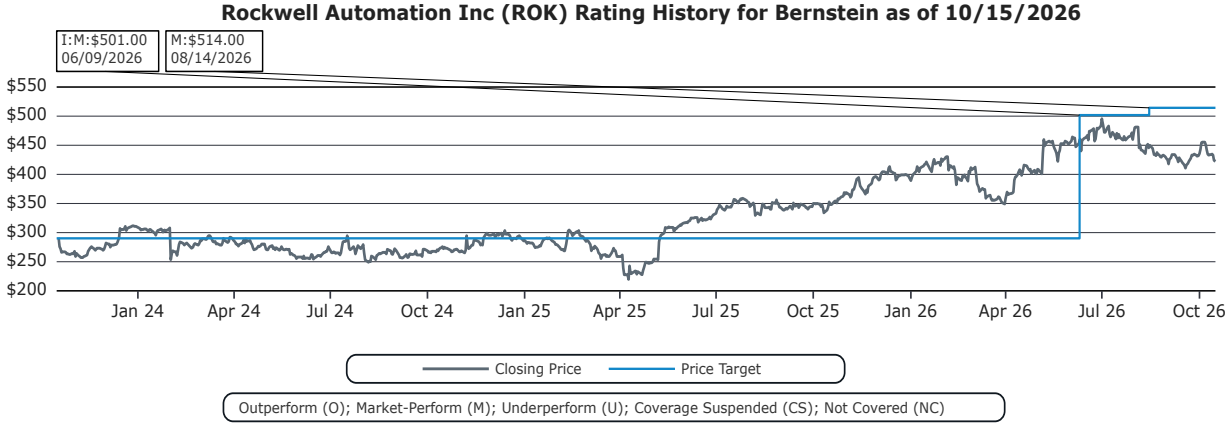
PRICE CHARTS / RATINGS AND PRICE TARGET HISTORY



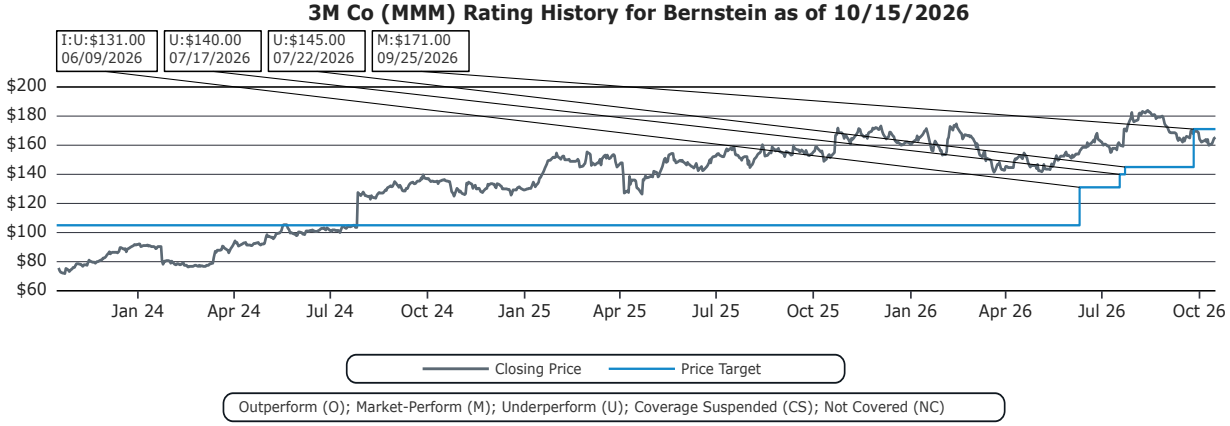
Emerson Electric Co (EMR) Rating History for Bernstein as of 10/15/2026

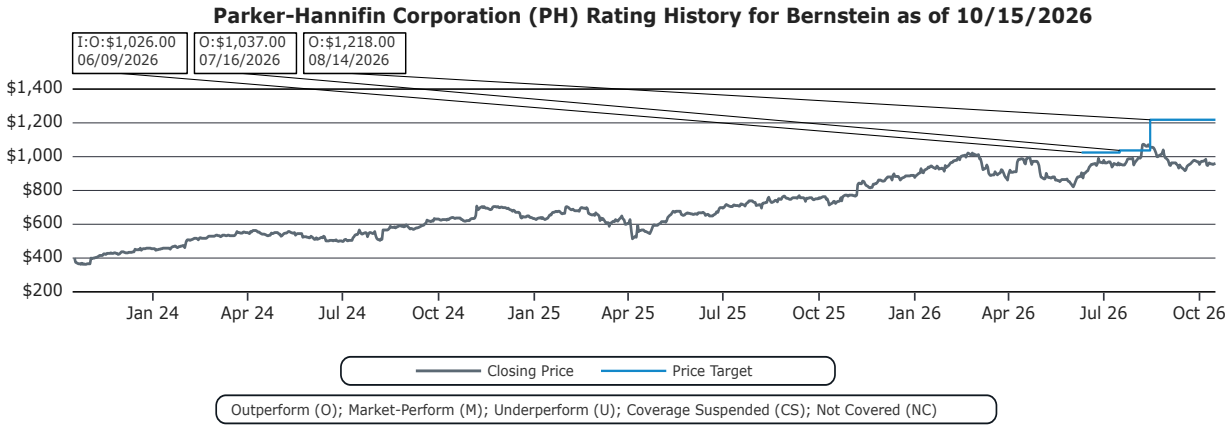


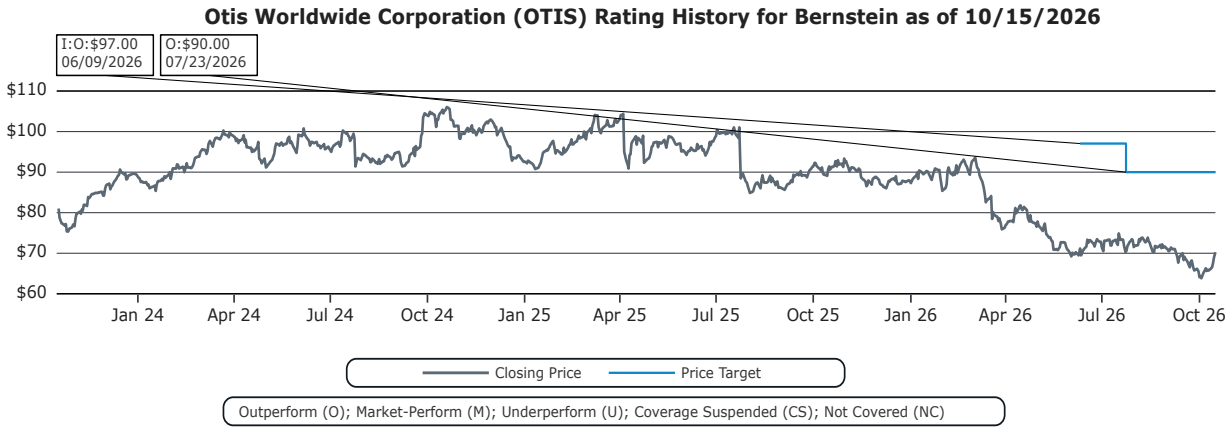
Rockwell Automation Inc (ROK) Rating History for Bernstein as of 10/15/2026



3M Co (MMM) Rating History for Bernstein as of 10/15/2026







All price target and closing price data in the chart(s) above are denominated in the currency noted in the Ticker Table of this report.

CONFLICTS OF INTEREST

SG and/or its affiliates beneficially own 0.5% or more of [the total issued share capital/any class of common equity securities] with a net [long/short] position of: Honeywell International Inc and 3M Co.

Bernstein Autonomous LLP or BSG France SA, beneficially, has either a net long or short position of 0.5% or more of the total issued share capital of a class of common equity securities of the following MiFID eligible securities: 3M Co.

Bernstein and/or affiliates have received compensation for investment banking services in the past twelve months from Honeywell International Inc and Otis Worldwide Corporation.

Bernstein and/or affiliates have received compensation for non-investment banking securities-related products or services in the previous twelve months from the following clients: Honeywell International Inc and Otis Worldwide Corporation.

Certain affiliates of Bernstein act as market maker or liquidity provider in the equities securities of: Honeywell International Inc, Emerson Electric Co, Rockwell Automation Inc, 3M Co and Parker-Hannifin Corporation.

Bernstein and/or affiliates had an investment banking client relationship during the past twelve months with Honeywell International Inc and Otis Worldwide Corporation.

Affiliates of Bernstein managed or co-managed in the past twelve months a public offering of securities of Honeywell International Inc and Otis Worldwide Corporation.

OTHER MATTERS

The legal entity(ies) employing the analyst(s) listed in this report, and their location, can be determined by the country code of their phone number, as follows:

+1 Bernstein Institutional Services LLC; New York, New York, USA

+44 Bernstein Autonomous LLP; London UK

+212 Société Générale Global Solution Center Morocco, Casablanca, Morocco

+33 BSG France S.A.; Paris, France

+34 BSG France S.A.; Madrid, Spain

+41 Bernstein Autonomous LLP; Geneva, Switzerland

+49 BSG France S.A.; Frankfurt, Germany

+91 Sanford C. Bernstein (India) Private Limited; Mumbai, India

+852 Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司; Hong Kong, China

+65 Sanford C. Bernstein (Singapore) Private Limited; Singapore

+81 Sanford C. Bernstein Japan KK; Tokyo, Japan

Where this report has been prepared by research analyst(s) employed by a non-US affiliate, such analyst(s), is/are (unless otherwise expressly noted below) not registered as associated persons of Bernstein Institutional Services LLC or any other SEC-registered broker-dealer and are not licensed or qualified as research analysts with FINRA. Accordingly, such analyst(s) may not be subject to FINRA's restrictions regarding (among other things) communications by research analysts with a subject company, interactions between research analysts and investment banking personnel, participation by research analysts in solicitation and marketing activities relating to investment banking transactions, public appearances by research analysts, and trading securities held by a research analyst account.

Where this report has been prepared by research analyst(s) employed by Société Générale Africa Technologies & Services (part of the Société Générale group of companies), it has been prepared on behalf of a Bernstein company under a Global Services Agreement in place between Bernstein and Société Générale.

CERTIFICATION

Each research analyst listed in this report, who is primarily responsible for the preparation of the content of this report, certifies that all of the views expressed in this publication accurately reflect that analyst's personal views about any and all of the subject securities or issuers and that no part of that analyst's compensation was, is, or will be, directly or indirectly, related to the specific recommendations or views in this publication.

II. ADDITIONAL GLOBAL CONFLICT DISCLOSURES

It is at the sole discretion of the Firm as to when to initiate, update and cease research coverage. The Firm has established, maintains and relies on information barriers to control the flow of information contained in one or more areas (i.e., the private side) within the Firm, and into other areas, units, groups or affiliates (i.e., public side) of the Firm.

III. OTHER IMPORTANT INFORMATION AND DISCLOSURES

Separate branding is maintained for "Bernstein" and "Autonomous" research products.

- Bernstein produces a number of different types of research products including, among others, fundamental analysis and quantitative analysis under both the "Autonomous" and "Bernstein" brands. Recommendations contained within one type of research product may differ from recommendations contained within other types of research products, whether as a result of differing time horizons, methodologies or otherwise. Furthermore, views or recommendations within a research product issued under one brand may differ from views or recommendations under the same type of research product issued under the other brand. The Research Ratings System for the two brands and other information related to those Rating Systems are included in the previous section.

- Autonomous operates as a separate business unit within the following entities: Bernstein Institutional Services LLC, Bernstein Autonomous LLP, Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 and Sanford C. Bernstein (India) Private Limited. For information relating to "Autonomous" branded products (including certain Sales materials) please visit: www.autonomous.com. For information relating to Bernstein branded products please visit: www.bernsteinresearch.com.

Analysts are compensated based on aggregate contributions to the research franchise as measured by account penetration, productivity and proactivity of investment ideas. No analysts are compensated based on performance in, or contributions to, generating investment banking revenues.

This report has been produced by an independent analyst as defined in Article 3 (1)(34)(i) of EU 596/2014 Market Abuse Regulation ("MAR") and the same article of MAR as it forms part of United Kingdom domestic law by virtue of the European Union (Withdrawal) Act 2018.

To our readers in the United States: Bernstein Institutional Services LLC, a broker-dealer registered with the U.S. Securities and Exchange Commission ("SEC") and a member of the U.S. Financial Industry Regulatory Authority, Inc. ("FINRA") is distributing this publication in the United States and accepts responsibility for its contents. Where this material contains an analysis of debt product(s), such material is intended only for institutional investors and is not subject to the US independence and disclosure standards applicable to debt research prepared for retail investors.

Bernstein Institutional Services LLC may act as principal for its own account or as agent for another person (including an affiliate) in sales or purchases of any security which is a subject of this report. This report does not purport to meet the objectives or needs of any specific individuals, entities or accounts.

To our readers in Canada: If this publication pertains to a Canadian domiciled company, it is being distributed in Canada by Sanford C. Bernstein (Canada) Limited, which is licensed and regulated by the Canadian Investment Regulatory Organization. If the publication pertains to a non-Canadian domiciled company, it is being distributed by Bernstein Institutional Services LLC, which is licensed and regulated by both the SEC and FINRA, into Canada under the International Dealers Exemption.

This document may not be passed onto any person in Canada unless that person qualifies as "permitted client" as defined in Section 1.1 of NI 31-103.

To our readers in Brazil: This report has been prepared by Bernstein Institutional Services LLC, and Banco BTG Pactual S.A. ("BTG") is responsible for the distribution of this report in Brazil.

To readers in the United Kingdom: This publication has been issued or approved for issue in the United Kingdom by Bernstein Autonomous LLP, authorised and regulated by the Financial Conduct Authority and located at 60 London Wall, London EC2M 5SH, +44 (0)20-7170-5000. Registered in England & Wales No OC343985.

This document is for distribution only to persons who (i) have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Financial Promotion Order"), (ii) are persons falling within Article 49(2)(a) to (d) ("high net worth companies, unincorporated associations, etc.") of the Financial Promotion Order, (iii) are outside the United Kingdom, or (iv) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the FSMA) in connection with the issue or sale of any securities may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as "relevant persons"). This document is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this document relates is available only to relevant persons and will be engaged in only with relevant persons.

To our readers in the member states of the EEA: This publication is being distributed by BSG France SA, which is authorised and regulated by the Autorité de Contrôle Prudentiel et de Résolution (ACPR) and Autorité des Marchés Financiers (AMF).

To our readers in Hong Kong: This publication is being distributed in Hong Kong by Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, which is licensed and regulated by the Hong Kong Securities and Futures Commission (Central Entity No. AXC846) to carry out Type 4 (Advising on Securities) regulated activities and subject to the licensing conditions mentioned in the SFC Public Register (https://www.sfc.hk/publicregWeb/corp/AXC846/details)). This publication is solely for professional investors, as defined in the Securities and Futures Ordinance (Cap. 571). The purpose of this report is solely to provide an analysis of the issuers referred to in this report and is not intended for any purpose contrary to the laws of Hong Kong.

To our readers in Singapore: This publication is being distributed in Singapore by Sanford C. Bernstein (Singapore) Private Limited, only to accredited investors or institutional investors, as defined in the Securities and Futures Act 2001 of Singapore ("SFA"). Recipients in Singapore should contact Sanford C. Bernstein (Singapore) Private Limited in respect of matters arising from, or in connection with, this publication. Sanford C. Bernstein (Singapore) Private Limited is regulated by the Monetary Authority of Singapore and licensed under the SFA as a capital markets services licence holder for dealing in capital markets products that are

securities and collective investment schemes and an exempt financial adviser for advising on, issuing and promulgating analyses and reports on securities. Sanford C. Bernstein (Singapore) Private Limited is registered in Singapore with Company Registration No. 20213710W and located at 8 Marina Boulevard, #12-01, Marina Bay Financial Centre, Singapore 018981, +65-6326-7000.

To our readers in the People's Republic of China: The securities referred to in this document are not being offered or sold and may not be offered or sold, directly or indirectly, in the People's Republic of China (for such purposes, not including the Hong Kong and Macau Special Administrative Regions or Taiwan, the "PRC") in contravention of any applicable laws of the PRC.

This document does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC to any person to whom it is unlawful to make the offer or solicitation in the PRC.

We do not represent that this document may be lawfully distributed, or that any securities may be lawfully offered, in compliance with any applicable registration or other requirements in the PRC, or pursuant to an exemption available thereunder, or assume any responsibility for facilitating any such distribution or offering. In particular, no action has been taken by us which would permit a public offering of any securities or distribution of this document in the PRC. Accordingly, the securities are not being offered or sold within the PRC by means of this document or any other document. Neither this document nor any advertisement or other offering material may be distributed or published in the PRC, except under circumstances that will result in compliance with any applicable laws and regulations.

To our readers in Japan: This publication is being distributed in Japan by Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社), which is registered in Japan as a Financial Instruments Business Operator with the Kanto Local Finance Bureau (registration number: The Director-General of Kanto Local Finance Bureau (FIBO) No.3387) and regulated by the Financial Services Agency. It is also a member of Investment Management Association of Japan. This publication is solely for qualified institutional investors in Japan only, as defined in Article 2, paragraph (3), items (i) of the Financial Instruments and Exchange Act.

For the institutional client readers in Japan who have been granted access to the Bernstein website by Daiwa Securities Group Inc. ("Daiwa"), your access to this document should not be construed as meaning that Bernstein is providing you with investment advice for any purposes. Whilst Bernstein has prepared this document, your relationship is, and will remain with, Daiwa, and Bernstein has neither any contractual relationship with you nor any obligations towards you.

To our readers in Australia: Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is responsible for distributing research in Australia. It is regulated by the Securities and Exchange Commission under U.S. laws, by the Financial Conduct Authority under U.K. laws, which differs from Australian laws. Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司 is exempt from the requirement to hold an Australian financial services license under the Corporations Act 2001 in respect of the provision of the following financial services to wholesale clients:

- providing financial product advice;
- dealing in a financial product;
- making a market for a financial product; and
- providing a custodial or depository service.

To our readers in India: This publication is being distributed in India by Sanford C. Bernstein (India) Private Limited (SCB India) which is licensed and regulated by Securities and Exchange Board of India ("SEBI") as a research analyst entity under the SEBI (Research Analyst) Regulations, 2014, having registration no. INH000006378 and as a stock broker having registration no. INZ000213537. SCB India is currently engaged in the business of providing research and stock broking services. Please refer to www.bernsteinresearch.in for more information.

- SCB India is a Private limited company incorporated under the Companies Act, 2013, on April 12, 2017 bearing corporate identification number U65999MH2017FTC293762, and registered office at Level 3A, 4th Floor, First International Financial Centre, Plot Nos C-54 and C-55, G Block, Near CBI Office, Bandra Kurla Complex, Bandra (East), Mumbai 400098, Maharashtra, India (Phone No: +91-22-68421401).
- For details of Associates (i.e., affiliates/group companies) of SCB India, kindly email MUM-BERNSTEIN-InCompliance@bernsteinsg.com / scbincompliance@bernsteinsg.com.
- SCB India does not have any disciplinary history as on the date of this report.

- Except as noted above, SCB India and/or its Associates (i.e., affiliates/group companies), the Research Analysts authoring this report, and their relatives
  - do not have any financial interest in the subject company
  - do not have actual/beneficial ownership of one percent or more in securities of the subject company;
  - is not engaged in any investment banking activities for Indian companies, as such;
  - have not managed or co-managed a public offering in the past twelve months for any Indian companies;
  - have not received any compensation for investment banking services or merchant banking services from the subject company in the past 12 months;
  - have not received compensation for brokerage services from the subject company in the past twelve months;
  - have not received any compensation or other benefits from the subject company or third party related to the specific recommendations or views in this report; and
  - do not currently, but may in the future, act as a market maker in the financial instruments of the companies covered in the report.
  - do not have any conflict of interest in the subject company as of the date of this report.
- Except as noted above, the subject company has not been a client of SCB India during twelve months preceding the date of distribution of this research report. Neither SCB India nor its Associates (i.e., affiliates/group companies) have received compensation for products or services other than investment banking, merchant banking or brokerage services from the subject company in the past twelve months.
- The principal research analyst(s) who prepared this report, members of the analysts' team, and members of their households are not an officer, director, employee or advisory board member of the companies covered in the report.
- Our Compliance officer / Grievance officer is Ms. Rupal Talati, who can be reached at +91-22-68421451, or MUM-BERNSTEIN-InCompliance@bernsteinsg.com / Scbin-investorgrievance@bernsteinsg.com / scbincompliance@bernsteinsg.com.
- Kindly refer to the Research investor charter and Research Most Important Terms & Conditions (MITC) available at (https://bernsteinresearch.in/)
- Disclaimer: Registration granted by SEBI, and certification from NISM, is in no way a guarantee of performance of the intermediary or provide any assurance of returns to investors. Investments in securities market are subject to market risks. Read all the related documents carefully before investing.

To our readers in Switzerland: This document is provided in Switzerland by or through Bernstein Autonomous LLP, and is provided only to qualified investors as defined in article 10 of the Swiss Collective Investment Scheme Act ("CISA") and related provisions of the Collective Investment Scheme Ordinance and in strict compliance with applicable Swiss law and regulations. The products mentioned in this document may not be suitable for all types of investors. This document is based on the Directives on the Independence of Financial Research issued by the Swiss Bankers Association (SBA) in January 2008.

To our readers in the Middle East: Bernstein Autonomous LLP, DIFC branch has its principal office at Gate Village 06, DIFC, Dubai, UAE. Bernstein Autonomous LLP, DIFC branch is regulated by the Dubai Financial Services Authority (DFSA) with the registration number CL10040 and is provisioned for Arranging Deals in Investments and Advising on Financial Products. All communications and services are directed at Professional Clients and Market Counterparties only (as defined in the DFSA rulebook). Persons other than Professional Clients and Market Counterparties, such as Retail Clients, are not the intended recipients of our communications or services.

LEGAL

All research publications are disseminated to our clients through posting on the firm's password protected websites, bernsteinresearch.com and autonomous.com. Certain, but not all, research publications are also made available to clients through

third-party vendors or redistributed to clients through alternate electronic means as a convenience.

This publication has been published and distributed in accordance with the Firm's policy for management of conflicts of interest in investment research, a copy of which is available from Bernstein Institutional Services LLC, Director of Compliance, 245 Park Avenue, New York, NY 10167. Additional disclosures and information regarding Bernstein's business are available on our website www.bernsteinresearch.com.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. This publication is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of, or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or which would subject any of the entities referenced herein or any of their subsidiaries or affiliates to any registration or licensing requirement within such jurisdiction. This publication is based upon public sources we believe to be reliable, but no representation is made by us that the publication is accurate or complete. We do not undertake to advise you of any change in the reported information or in the opinions herein. This publication was prepared and issued by entity referred to herein for distribution to eligible counterparties or professional clients. This publication is not an offer to buy or sell any security, and it does not constitute investment, legal or tax advice. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with their professional advisors in light of their specific circumstances. The value of investments may fluctuate, and investments that are denominated in foreign currencies may fluctuate in value as a result of exposure to exchange rate movements. Information about past performance of an investment is not necessarily a guide to, indicator of, or assurance of, future performance.

This report is directed to and intended only for our clients who are “eligible counterparties”, “professional clients”, “institutional investors” and/or “professional investors” as defined by the aforementioned regulators, and must not be redistributed to retail clients as defined by the aforementioned regulators. Retail clients who receive this report should note that the services of the entities noted herein are not available to them and should not rely on the material herein to make an investment decision. The result of such act will not hold the entities noted herein liable for any loss thus incurred as the entities noted herein are not registered/ authorised/ licensed to deal with retail clients and will not enter into any contractual agreement/arrangement with retail clients. This report is provided subject to the terms and conditions of any agreement that the clients may have entered into with the entities noted herein. All research reports are disseminated on a simultaneous basis to eligible clients through electronic publication to our client portal.

The information in this report was prepared by Bernstein solely for the internal business use of our clients. Clients may store, display, analyze, reformat and print the information in this report for this limited use only. Clients may not copy, alter, create derivative works, resell, reverse engineer, commercially exploit, share or distribute any part of the information contained herein for any purpose without Bernstein’s express written consent. These restrictions include extracting data or using the content to develop indices or other products. Further, you may not use this report, or any portion of this report, to train or finetune any third-party machine learning or artificial intelligence system, or as a prompt or input into any such system. You also may not, without Bernstein’s express written consent, do any of the foregoing in connection with your own internal machine learning or artificial intelligence system.

Bernstein may use artificial intelligence tools in the preparation of its materials. Any such materials are reviewed by Bernstein’s research analysts prior to publication.

This report has been prepared for information purposes only and is based on current public information that we consider reliable, but the entities noted herein do not warrant or represent (express or implied) as to the sources of information or data contained herein are accurate, complete, not misleading or as to its fitness for the purpose intended even though the entities noted herein rely on reputable or trustworthy data providers, it should not be relied upon as such. Opinions expressed are the author(s)’ current opinions as of the date appearing on the material only and we do not undertake to advise you of any change in the reported information or in the opinions herein.

Any references to Societe Generale herein are purely factual, based upon publicly available information, and included for comparative purposes only. They do not constitute an opinion or recommendation with respect to the securities of Societe Generale.

This publication was prepared and issued by the entity referred to herein for distribution to eligible counterparties or professional clients. The information in this report is intended for general circulation and does not constitute an offer to buy or sell any security, investment, legal or tax advice nor a personal recommendation, as defined by any of the aforementioned regulators. It does not take into account the particular investment objectives, financial situations, or needs of individual investors. The report has not been reviewed by any of the aforementioned regulators and does not represent any official recommendation from the aforementioned regulators. The investments referred to herein may not be suitable for you. Investors must make their own investment decisions in consultation with advice sought from a financial adviser regarding the suitability of the investment product, taking into account the specific investment objectives, financial situation or particular needs of any recipient of the recommendation, before the recipient

makes a commitment to purchase the investment product.

The analysis contained herein is based on numerous assumptions. Different assumptions could result in materially different results. The information in this report does not constitute, or form part of, any offer to sell or issue, or any offer to purchase or subscribe for shares, or to induce engagement in any other investment activity. The value of any securities or financial instruments mentioned in this report may fluctuate subject to market conditions. Information about past performance of an investment is not necessarily a guide to, indicative of, or assurance of future performance. Estimates of future performance mentioned by the research analyst in this report are based on assumptions that may not be realized due to unforeseen factors like market volatility/fluctuation. In relation to securities or financial instruments denominated in a foreign currency other than the clients' home currency, movements in exchange rates will have an effect on the value, either favorable or unfavorable. Before acting on any recommendations in this report, recipients should consider the appropriateness of investing in the subject securities or financial instruments mentioned in this report and, if necessary, seek independent professional advice.

The securities described herein may not be eligible for sale in all jurisdictions or to certain categories of investors where that permission profile is not consistent with the licenses held by the entities noted herein. This document is for distribution only as may be permitted by law. It is not directed to, or intended for distribution to or use by, any person or entity who is a citizen or resident of or located in any locality, state, country or other jurisdiction where such distribution, publication, availability or use would be contrary to law or regulation or would subject the entities noted herein to any regulation or licensing requirement within such jurisdiction.

Source: Bloomberg Index Services Limited. BLOOMBERG® is a trademark and service mark of Bloomberg Finance L.P. and its affiliates (collectively "Bloomberg"). Bloomberg or Bloomberg's licensors own all proprietary rights in the Bloomberg Indices. Neither Bloomberg nor Bloomberg's licensors approves or endorses this material, or guarantees the accuracy or completeness of any information herein, or makes any warranty, express or implied, as to the results to be obtained therefrom and, to the maximum extent allowed by law, neither shall have any liability or responsibility for injury or damages arising in connection therewith.

No part of this material may be reproduced, distributed or transmitted or otherwise made available without prior consent of the entities noted herein. Copyright Bernstein Institutional Services LLC Bernstein Autonomous LLP, BSG France S.A., Sanford C. Bernstein (Hong Kong) Limited 盛博香港有限公司, Sanford C. Bernstein (Canada) Limited, Sanford C. Bernstein (India) Private Limited (SEBI registration no. INH000006378), Sanford C. Bernstein (Singapore) Private Limited and Sanford C. Bernstein Japan KK (サンフォード・C・バーンスタイン株式会社). All rights reserved. The trademarks and service marks contained herein are the property of their respective owners. Any unauthorized use or disclosure is strictly prohibited. The entities noted herein may pursue legal action if the unauthorized use results in any defamation and/or reputational risk to the entities noted herein and research published under the Bernstein and Autonomous brands.